

State of Ohio
STATE EMPLOYMENT RELATIONS BOARD
Statutory Impasse Procedures

In the matter of the factfinding between:	)	SERB Case No(s).
	)	2019-MED-03-0224 {MAD}
Northwestern Local School District,	)	(Classified Unit)
Board of Education	)	
Public Employer	)	GREGORY P. SZUTER, FACT FINDER
	)	
and	)	
	)	Report and Recommendation
Northwestern LEA/OEA/NEA	)	
Employee Organization	)	

for the Labor Organization:

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Also present on behalf of the Employer:

Jeffrey Layton, Superintendent
Charles Beck, President, BOE
Lesa Forbes, Treasurer BOE
Julie McCumber, Assoc. Supt. & Transp. Superv.

Hearing Date: June 11, 16, 2020 (9:30 a.m.)

Hearing Locale: West Salem, OH

Report Issued : July 15, 2020

INTRODUCTION

The Northwestern Local School District, Board of Education, and Northwestern Local Education Association affiliated with OEA/NEA are Parties to this statutory fact finding procedure ("fact finding") under Ohio R. C. 4117(C)(3) in the a form of a Mutually Agreed Alternate Dispute Settlement Procedure ("MAD") by agreement before negotiations pursuant R.C. 4117.14(E). It provides for advisory interest arbitration for the purpose of to recommending the terms for a collective bargaining agreement. This fact finding relates to the successor of the collective bargaining agreement that was effective July 1, 2016 to June 30, 2019 for the unit of certified employees of the District referred to herein as "CBA" or "the Agreement."¹

THE PUBLIC EMPLOYER

Northwestern Local School District is one of the ten school districts situated in the Wayne County Ohio.² It is 30 miles east of Mansfield, 42 miles southwest of Akron and 55 miles southwest of Cleveland. It abuts the city school districts of Wooster in Wayne County and Ashland in Ashland County. Both are about 15 miles distant. It touches a small part of Mapleton LDS in Ashland County and borders the Black River District that is in both Medina and Lorain counties.

The District is a local school district as defined by R.C. 3311.03. The District operates under an elected Board of Education, consisting of five members and is responsible for providing public education to residents of the District. The District provides regular, vocational, special instruction and student intervention services. The District also provides support services for the pupils, instructional staff, administration, fiscal services, facilities acquisition and construction services, operation and maintenance of plant, pupil transportation, food services, extracurricular activities and non-programmed services.³ The District had a daily average student membership of 1,174 in fiscal year 2019 excluding about 284 open enrollment students who reside in another district but voluntarily apply to attend in the District).The total of students served is 1,442 students, the difference being made up of outside placement arrangements. The District is comprised of three schools all located on a single campus on either side of State Route 301.

The sources of revenue for the School District General Fund are property (real estate) tax and income tax, 35% in total, with 50% from the State of Ohio with the balance supplemented by grants.

¹ Other abbreviations used herein are: The public employer is the "District" and may also be the "Board," "Administration" or "Employer" all without change of context. The employee organization is either the "Association" or "NLEA". Tentative Agreements "TA" with singular including plural as context requires. Current contract language "CCL;" Employer exhibits, "EX;" and Association exhibits are "UX." Numerals denoted in red are negative figures. Capitalization (or not) of "Parties" carries no significance. All emphasis (underscore) in quotations is added.

² Chippewa Local School District (LSD); Dalton LSD; Green LSD; Northwestern LSD; Norwayne LSD; Orrville City School District (CSD); Rittman LSD; Southeast LSD; Triway LSD; and Wooster CSD.

³ UX 10 p.2.

THE UNIT FOR BARGAINING

The School District employs about 160 persons of whom 88 are Certified employees and 50 are Classified employees with between 10 and 15 are administrators and the balance being exempt staff, eg. secretaries, security officer. The NLEA represents two units of the School District's employees, identified as the Certified Unit and the Classified Unit to formally differentiate between the teaching and non teaching employees. Through the two units the School District provides educational and supplemental services and related services to the school age children throughout Northwestern School District and others through outside placement arrangements.

The Classified Unit consists of all full-time and regular part-time noncertified/non-licensed personnel including head cooks, cooks, dishwashers, breakfast program cook/cashiers and cafeteria assistants; teacher aides, teacher aide, Chapter 1 teacher aide, library technicians and study hall monitors; transportation mechanics, bus drivers, van drivers and transportation aide/bus monitors; building custodians, custodians, groundskeeper, Treasurer's secretary/bank messenger, guidance secretaries, and building secretaries. Excluded are all certificated/licensed teaching employees, all supervisory personnel including Superintendent and principals, "volunteer" van drivers and all confidential, seasonal, casual and substitute employees as defined in Ohio Revised Code 4117. The bargaining unit consists of 51 employees.

THE COLLECTIVE BARGAINING AGREEMENT AND RECENT NEGOTIATIONS

Charles Beck, currently president of the Northwestern Local School Board, had been a classroom teacher for 30 years nearly all of them in the District before he retired in 2010. He became a member of the school board in 2013 and has been elected three times. As a teacher and former president of the Local Association he participated in all of the negotiations since the first one in 1985 except for 2010. The first few were one-year agreements followed by some two year agreements before the three-year agreement pattern was established. In the negotiations of 2010 when he was absent, the "COG Mimic" form health care program originated.*(infra)* In 2013 the Parties continued that plan. In all there had been approximately 10 agreements in which and he participated in three of them 2013 2016 and 2019 as Board President. The parties had bargained using the IBB⁴ approach since 2003 and had been prepared to do the same in 2019 that project was abandoned.

The School District and the Association entered into bargaining over the terms and conditions for the expiring collective bargaining agreement. While the first bargaining session is at this juncture unclear, either March 7, 2019 or April 10, 2019, the Parties agreed that session was an orientation to IBB form of negotiations with issue exchange and orientation on the financial situation. After a statement by an Association representative concerning the finances, particularly the recent audits, a recess was taken after which the Association committee expressed doubt on proceeding with IBB because of a lack of confidence in "the numbers." (That sentiment continued through hearing and had been fed by multiple submissions of financial data not all in agreement with the last.) The parties decided to proceed with traditional bargaining rather than the IBB form.

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"Interest-based bargaining," a collaborative model for collective bargaining pioneered by the FMCS in the early 2000's.

Based on the testimony that clarified the meeting schedule presented, there were scheduled days and bargaining session days. The following is a recapitulation of the evidence with strike overs indicating dates planned but not used:

2019

~~March 7 – IBB Training & Issues Exchange / Financial Discussion – Parties abandon IBB~~

~~March 12 – Bargaining Scheduled~~

~~March 19, 20, 21 – Bargaining Scheduled~~

~~April 5 – Bargaining Scheduled~~

~~April 9 – Bargaining Scheduled~~

April 10 – Northwestern IBB Training & Issues Exchange / Financial Discussion – Parties abandon IBB

~~April 11 – Bargaining Scheduled~~

May 1 – Bargaining Session

May 7,8 – Bargaining Session, Certified

June 17, Last substantive discussion of language issues

~~June 18 – Bargaining Scheduled~~

June 19, 20 – Bargaining Session

August 14 – Bargaining Session

September 19 – Bargaining Session, Certified and Classified

October 15 – Association comprehensive counter proposal

and Joint meeting with Stark County Council of Governments (COG) Health Plan

~~October 22 – Bargaining Scheduled, Classified~~

~~November 12 – Bargaining Scheduled, Classified~~

~~November 15 – Bargaining Scheduled, Certified~~

~~November 25 – Bargaining Scheduled, Classified~~

December 11 – Bargaining Session, Certified

2020

January 15 – Bargaining Session, Certified and Classified

February 6 – Bargaining Session, Certified and Classified

February 25 – Bargaining Session, Certified and Classified

March 25 – Bargaining Session, Certified and Classified Scheduled

March 31 – Bargaining Session, Certified and Classified over Videoconferencing

April 1 – Bargaining Session, Certified and Classified over Videoconferencing (given as date of impasse)

April 15 – Association Receives Board's Last Best Offer

April 24 – Association Notifies Board of intent to move to Fact Finding

The Association notified the District of its desire to proceed to factfinding pursuant to the MAD set out in their Agreement on April 24, 2020 and the Factfinder was appointed May 11, 2020.

The Parties reached a series of tentative agreements (TA) on both contracts by the first day of hearing. The expiring Agreement is a 100 page document consisting of Arabic numbered Articles with alphabetically designated sections. There are 25 Articles. In addition there are four Memoranda of Understanding (MOU's) addressing items of intent followed by eight Appendices also lettered.

At the hearing to the Parties presented their joint stipulations and TA's as a separate binder identifying five classes of issues. **Appendix B.** Owing in part to the long bargaining history but perhaps more to the fact that both the Employer and Association representatives were new to the relationship, only three articles, 3 MOU's and all the appendices continued from any predecessor agreement as current contract language (CCL). This was the first stipulated class. During negotiations and prior to the Employer's final and best offer of 04/15/20 the Parties reached TA's on 10 articles (class 2). After the Employer's final and best offer and at the encouragement of the Factfinder in prehearing conferences the Parties reached additional agreements that became TA's for

26 additional lettered sections of the agreement which is the third class of stipulations. Fifth class in the stipulations are the open or "Disputed Articles." However the Parties also identified a fourth class in their stipulations which are the portions of the Disputed Articles.

ISSUES FOR FACTFINDING

The remaining impasse issues identified under the fifth class of the stipulations as Disputed Articles with their Article numbers are:

Article 4 — Rights	B. — Subparagraph 7 [new]
	C. — Subparagraphs 5, 9, 18 and 19
Article 7 — Complaints	
Article 9	A. — Subparagraph 1
	C. — Subparagraph 1.a.
	E. — Subparagraph 1
Article 11	C.
Article 12 — B. ("Layoff")	
Article 14 — A. ("Nine (9) and Ten (10) Month Bargaining Unit Members")	
Article 15	G.
Article 16	A.— Subparagraph 3
	B.— Subparagraph 2.d.
	C.— "Personal Leave"
Article 17	B.
	E. ("Unpaid Short Term Leave")
Article 19 — Wages	
Article 21 — Insurances and new Appendicies	
Article 32 — Transportation — A. ("Field Trips")	
	E. ("Roster Time")
	J. ("Summer Bus Cleaning")
	Q. ("Handicap Transportation Aides")
	W. ("Inclement Weather")
	Z. ("Pre-Trip and Post-Trip") [new]
25Article 35 — Duration and Intent — Paragraphs A. and B.	
Intent Statement (transportation)	

The matters still at impasse between the bargaining Parties were submitted to advisory fact finding. The Employer's position on all impasse issues is the same as was agreed in the 2019 TA. The Association has proposed variances from the TA based on its final bargaining positions before entering the TA which are here requested to be recommended for the new agreements.

HEARING

The Parties requested a Fact-Finding panel from the State Employment Relations Board (SERB) which appointed the undersigned as Fact Finder by letter of on May 11, 2020. Having entered procedural stipulations the Parties agreed to waive the terms of the MAD of their CBA to arranged for a fact finding hearing be conducted on June 11 and 16, 2020 with the report and recommendation to issue July 15, 2020. **Appendix A.**

The hearing arrangements were made during the COVID19 pandemic at the time when the Ohio declaration of emergency was in place based on the CDC advisories. The Parties and Factfinder held two teleconferences on May 19 and June 2, 2020 to consider the arrangements for the hearing in context of the public health mitigation regime in place. It was concluded by agreement of the Parties to conduct an in-person hearing with strong public health mitigation measures.

The pre-hearing statements of both Parties were received by overnight delivery on June 9, 2020 by close of business. The first evidentiary hearing commenced at 9:30 a.m. on June 11, 2020 and it concluded 5:00 p.m. The second evidentiary hearing commenced at 9:30 a.m. on June 16, 2020 and it concluded 5:30 p.m. The hearing was generally divided one day for each Unit but with substantial overlap. The evidence was presented at hearing relevant to the issues in dispute as to both Units. The Association numbered its exhibits sequentially UX 1-18 throughout the hearing. Eighteen of the Employer's exhibits were submitted in notebooks separately identified for each Unit but using the same numbering for both Units. An additional 12 exhibits were submitted, in total EX 1-30. The Classified Unit's EX 1, 2 and 9 differed from Certified EX 1, 2, and 9 but were the same subject. (ie. CBA, April 15, 2020 final offer and comparative data from ESC). All other numbers were the identical document. This Report references particularly to EX 9 reflects the distinct information for the particular Unit.

MEDIATION

The Ohio law encourages fact finders to mediate disputes when practical. R.C. 4117.14 (C)(4)(f). Understanding the positions of the Parties from the pre-hearing telephone conference, particularly the length of the negotiations, the Factfinder and Parties concluded an attempt to mediate the open issues would not resolve the impasse.

THE STATUTORY CRITERIA

The Parties' MAD incorporates the factors under RC §4117.14G(7)(b), and OAC Rule 4117-9-05(J) and 4117-9-05(K) which the Fact Finder considered in making the findings contained in this report. They are:

1. Past collective bargaining agreements between the Parties;
2. Comparison of the unresolved issues relative to the employees in the bargaining unit with those issues related to other public and private employees doing comparable work, giving consideration to factors peculiar to the area and classification involved;
3. The interest and welfare of the public, the ability of the public employer to finance and administer the issues proposed, and the effect of the adjustments on the normal standard of public service;
4. The lawful authority of the public employer;
5. Any stipulations of the Parties;
6. Such other factors, not confined to those listed above, which are normally or traditionally taken into consideration in the determination of issues submitted to mutually agreed-upon dispute settlement procedures in the public service or in private employment.

The operative criteria most applied in this Report and Recommendation are: #2, #3, #6.

FINDINGS: Discussion of Statutory Criteria

CRITERIA #1 PAST COLLECTIVE BARGAINING AGREEMENTS

The Parties have a tradition of multi-unit bargaining that goes back in to the 1980s. The two units are all represented by the same Association. Since the 1990's the School District and Association have met together to negotiate separate contracts but as uniform as possible as to the terms and conditions across the board. Economic issues like wage increases and holidays were generally universal. The most recent agreement effective July 1, 2016 through June 30, 2019 was reached in this fashion also.

CRITERIA #2

COMPARISONS OF (1) ISSUES TO (2) THE SAME ISSUES OF EMPLOYEES DOING COMPARABLE WORK WHICH IS DETERMINED BY (A) FACTORS PECULIAR TO THE AREA AND (B) FACTORS PECULIAR TO THE CLASSIFICATION

As paraphrased above Criteria #2 , RC § 4117.14G(7)(b), is the comparison of the bargaining issues to the same issues of other employees, public or private, doing comparable work in the area. What needs emphasis is that the comparison is being made of (1) the bargaining issues and (2) other employees doing the same work, public or private. The statute requires comparison to employees doing "comparable work" with special attention to "factors peculiar to the area and classification involved." The same classification is the easy comparison.⁵

What is often overlooked is that determining "comparable work" requires looking to the peculiarities of the "area...involved." That means the local labor market. The statute does not require a comparison among the employers of those other employees.⁶ That is irrelevant here but it is a consideration under Criteria #6, RC § 4117.14G(7)(f). The search is supposed to be for similar employees in the labor market that serves the bargaining employer. The disputed issues can be compared to the similar issues of such other employees. Here the parties are in relative agreement as to the comparison between employees of Northwestern School District and certain other Districts.

The Factfinder takes a geographic reading of the "area involved." Under Criteria #2 the comparability process should begin with the concept that the issues being compared, wages and working conditions, are defined competitively by the labor market which is the area immediately adjacent to the Employer and where it has a likelihood of recruiting staff. The default communities for the comparison should consist of adjacent districts. The list can be supplemented with second tier (adjacent to adjacent) districts if the needed data on the jobs or issues to be compared is lacking.

⁵ Some fact finders consider employees of the same employer as comparable classifications and refer to the Employer's other collective bargaining units. Unless there are similar classifications in those CBA's such are not comparisons made under this criteria but under RC § 4117.14G(7)(f). Internal comparison to non-bargaining personnel of the Employer are also not the "classification involved."

⁶ Contrast eg. Illinois Act, IPLRA Section 14(h)(4), referring to "comparable communities."

For the purpose of comparisons, the Employer used a grouping of 20 districts for purposes of comparison as to all issues. However, the Employer focused on eight for purposes of insurance. Eight school districts were utilized by the Association based on similar economies and significant overlap of resident and working populations. The groups of eight tended to overlap but not precisely.

By dint of analysis the comparisons were adjusted as follows. The Board's list of 20 similar districts

Ashland CSD, AWHCC, Chippewa LSD, Dalton LSD, East Holmes LSD, Green LSD, Hillsdale LSD, Loudenville LSD, Mapleton LSD, Northwestern LSD, Norwayne LSD, Orville CSD A, Orville CSD B, Rittman EVSD, Southeast LSD, Triway LSD, WCSCC, West Holmes LSD, Wooster CSD, Tri-County Educational Service Center. (EX 9)

This was modified as follows.

Ashland CSD, AWHCC, Chippewa LSD, Dalton LSD, East Holmes LSD, Green LSD, Hillsdale LSD, Loudenville LSD, Mapleton LSD, Northwestern LSD, Norwayne LSD, Orville CSD A, Orville CSD B, Rittman EVSD, Southeast LSD, **Triway LSD, WCSCC, West Holmes LSD, **Wooster CSD**, Tri-County Educational Service Center, ~~Black River LSD~~ ~~Cloverleaf LSD~~.**

Northwestern is underlined. The strike overs indicate districts listed by one of the Parties but which are distinguishable from K-12 districts or are too small, or are too distant, and in each case with the result that they were not addressed in testimony. Boldface shows the Association's list of eight. Italics show the Employer's 11 comparisons that were used for insurance. EX 12. Thus, the list of 20 (EX 9) is pared to the following 13 which represents the most relevant comparisons for salary.

Ashland CSD, Chippewa LSD, Dalton LSD, Green LSD, Hillsdale LSD, Mapleton LSD, Northwestern LSD, Norwayne LSD, Orville CSD A, Orville CSD B, Southeast LSD, **Triway LSD, **Wooster CSD**.**

For the insurance discussion the members from EX 12 that were used are:

*Chippewa LSD, Green LSD, Hillsdale, Mapleton, Northwestern LSD, Norwayne LSD, Orville CSD A, Southeast LSD, **Triway LSD**, **Wooster CSD**.*

These two lists comprise are the districts in the "area involved" for the comparison of the bargaining issues to the same issues of other employees, public or private, doing comparable work in the area under 4117.14G(7)(b).

CRITERIA #3

INTEREST AND WELFARE OF THE PUBLIC: (1) ABILITY TO FINANCE (2) ABILITY TO ADMINISTER (3) EFFECTS ON PUBLIC SERVICE.

This criteria is the most exhaustively explored on the record of this case.

Lesa Forbes has been the Board Treasurer since August 2013, seven years. Her role includes managing the five-year forecast adopted by the Board and filed twice a year with the Ohio

Department of Education (ODE) in October (now November) and May of each school year. In addition the Treasurer oversees various financial services of the Board which are payables, insurance, payroll and ultimately assisting in the annual audit by the outside auditor. Between the ODE submissions, the Treasurer provided periodic updates. That had also been done during the negotiations for the 2019 CBA with the Association.

The updates provided during negotiations added fuel to the Association concerns over the financial statements of the Board that had been criticized since 2013 by the outside auditor (REA) under contract with the State and the Ohio Auditor State. In the interim iterations of the five-year forecasts, the Association purported to find arithmetic errors and general lack of precision on some of the data. One example was the actual cost of the step and grade grid for salaries. The Board estimated it at 1.75% and the actual calculation performed by the Association using data for each employee produced a more precise 1.5%.

Lee Kimmich former Association president testified about some of the Association's concerns with the financial data. UX 1. Those fall into several categories. One is the presentation of data in the audits and the auditor findings particularly with respect to deficit financing, the data concerning a comparisons of full-time administrators.

Ohio Administrative Code 117-2-03(B) requires inter alia School Districts to prepare financial report in accordance with generally accepted accounting principles often referred to as GAAP. The District has chosen to prepare its financial statements on a modified cash basis form of accounting. The receipts and cash disbursements are recognized only when received rather when earned, and disbursements are recognized when paid rather than when the liability is incurred. However, in budgetary presentations, the budgetary expenditures are reported when a commitment is made (ie when an encumbrance is approved). Investments are reported as assets. Purchases of investments are not recorded as disbursements and sales of investments are not recorded as receipts. Gains or losses at the time of sale are recorded as receipts or disbursements, respectively.

The District relies on R.C. 117.38 and OAC 117-2-03(D) as the basis of preparing its financial reports.⁷ The Auditor failed to approve. (UX 4 through 10) However, the audit did note that the methods of fund accounting necessary for presentation of data for governments was followed. That provides a general fund for the major portion of revenue and expenditures with separate funds for special "earmarked" purposes (eg debt service, capital projects etc.)

⁷

OAC 117-02-03(D) states in part that local public offices that do not use GAAP "shall file their annual financial reports on the regulatory basis prescribed by the auditor of state. If the auditor of state has not prescribed an annual financial reporting format for a type of local public office, those public offices shall file financial statements annually with the auditor of state, using the format used by the local public office." The difficulty is that the Auditor of State prescribed GAAP for school districts per OAC 117-02-03(B). Treasurer Forbes states that, after many years, steps are being taken to address this deficiency for the 2020-2021 school year audit.

The Auditor of State opined in January 2020 for 2018-2019 (UX10) school year:

Adverse Opinion

In our opinion, because of the significance of the matter discussed in the Basis for Adverse Opinion paragraph, the *financial statements referred to above do not present fairly, in accordance with accounting principles* generally accepted in the United States of America, the financial position of the Northwestern Local School District as of June 30, 2019, and the respective changes in financial position thereof for the year then ended.

Cash basis accounting is an identifiable accounting procedure and is one of a very conservative nature. It husbands cash positions closely and so is useful for cash poor organizations. While that may describe the Employer in this case, the Employer is also a school district which is in need of the accrual basis of accounting for its long-term planning both as a matter of fact and law. Failure to use those procedures robs it of the ability to see its precise position in relation to its many obligations that it naturally incurs due to the size of the communities it supports and that support it. This is a very serious dereliction and one present for an extremely long. Treasurer Forbes testified that State Auditor did not indicate there was any sort of fraud or error in the presentation of the Board's finances and that the ODE had complemented the five year projections is not having variances of more than 1% from year to year. While the adverse opinion of the auditor was passed off as merely a procedural difference with the Auditor of State, it is not. Consistency in ODE reporting does not indicate the lack of error or fraud, merely consistency.

The five year projections used during negotiations (EX 3, 4, 5, 6) demonstrated the Board's effort of transparency although met with skepticism borne of a variety of anecdotes delivered by Mr. Kimmich that need not be rehearsed here. UX 1. The most recent forecast passed by the Board on May 28, 2020 and filed with ODE was presented hearing (EX 19). It is not a mathematical projection alone but incorporates certain known and anticipated changes. The format presents "actual" three years results and the five-year forecasts projected on those three years. The "actual" designation does not appear to refer to the audit. For example the year-end audit 06/30/19 (UX 10) shows revenues, expenditures and fund balances that do not coordinate with the "actual" fiscal year 2019 on the May 2020 ODE five-year forecast.

While the Treasurer testified that steps are being taken to address and rectify the adverse audit opinions in forthcoming years, it is quite late. For now the Association and the Factfinder are both put in the difficult position of making a leap of faith that the materials presented on the finances of the Board represent something reliable. It appears from the conduct of both parties that the five-year May 28 forecast filed with OED has the most current acceptability. EX 19. While it leaves much to be desired, it is the only recent information available. As it is, presents a very dire picture.

Northwestern receives approximately 15% of its annual revenue from income tax collections, 20% from real estate taxes, and 50% from ODE (State Foundation and Restricted Grants-in-Aid). In 2019 approximately 79% of the Board's cash disbursements are personnel costs, either salary or benefits. EX 8. From the May 2020 Five Year Forecast, EX 19:

Fiscal Year	2020	2021	2022
Total Revenues	15.245m	14.707m	14.504m
Total Expenditures	15.337m	15.240m	15.601m
Difference	(91,431)	(533,614)	(1,096,494)
Cash Balance prior July 1	1,066,229	974,798	441,184
Estimated Encumbrance	219,227	219,227	219,227
Fund Balance YE June 30	755, 670	221,957	(874, 637)

After netting the revenues and expenditures the year-beginning cash balance is added and the encumbrances are subtracted to arrive at the year-end fund balance. The estimated encumbrance figure is a carryforward by the Board of its lowest and latest year-end encumbrance. The District has made an effort to reduce the year-end encumbrances because they serve to reduce the annual fund balance. The demonstration of EX19 (filed with the ODE, May 2020) indicates that the fund balance for the school year ending 2022 is insufficient for the Treasurer to certify compliance with any contracts during that year. Consequently the Board is offering a two-year collective-bargaining agreement ending 06/30/21. The Association agrees to the two-year contract with different terms.

The District has deficit spent the past three fiscal years. Although it sought to minimize its deficit spending, the budget reductions in order to reduce its expenditures have been insufficient. Financially Northwestern Schools are struggling as a result of a series of factors. The Association argues that employee healthcare is not the culprit. That is correct to the extent that it is not alone the source of money woes. The COVID-19 pandemic effects on revenue, particularly State funding, and the recalculation for Current Agriculture Use Value (CAUV) are two others.

State funding provides 50% of the District's revenue through the ODE grants. Unfortunately, this spring those grants had been depleted. The Governor imposed a 20% budget reduction on ODE for FY2021 due to the COVID-19 pandemic. The ODE announced that it was cutting \$216,000 allotted for the District for FY2020 (i.e. in May-June 2020) due to the poor tax receipts resulting from the COVID situation. Supt. Layton testified the District expects an additional cut of \$291,000 from the ODE for FY2021 (i.e., the 2020-2021 school year). The District does not have the financial means to absorb the loss of these State-level cuts through local funds, either by property or income tax.

The District is low wealth agricultural area in which the District itself is the largest employer. Farmland devoted exclusively to commercial agriculture use is valued according to its current use rather than at its "highest and best" potential use. This is known in the law as the Current Agricultural Use Value or CAUV. This program permits the valuation of a large portion of the property in the District to be set below true market values which in turn results in a substantially lower tax bill for working farmers and tax receipts for the District. Periodic revaluation under the

CAUV decreases the tax receipts of the District even further.⁸

An income tax levy is not feasible at this time. The most recent levy occurred two years ago, 2018, when a Permanent Improvement (PI) renewal with a slight increase passed. It took two attempts succeed. The proceeds are being used to retire the expense associated with the building repairs, chiefly the roof and the HVAC/chiller/boiler system. EX 26. Supt. Layton testified that he does not believe current economic conditions in the State and District are conducive to the passage of another levy until 2024. That year the school building bond issue drops-off which would make a new tax or at least replacement measure more palatable. That is exacerbated by the Covid impacts on the economy which is not expected to recover the pre-pandemic financial condition in the short term.

Specifically, related to the COVID-19 pandemic, the Treasurer testified the County Auditor reported a 15% reduction was expected in the income tax revenue for the District for FY2021, and a 10% decrease in real estate (general property tax) revenue. In the Board's November 12, 2019 Five-Year Forecast (EX 4) the Treasurer had used a projected an income tax increase of 2.5% and projected 1.85% increase in property tax. That had to be adjusted for the May filing.

In the past the Northwestern Local Schools successfully sought new revenue streams to increase the top line of the financial statements. That includes grants and open enrollment. The Superintendent, who has a background with grant writing,⁹ exploited the opportunity to obtain grants aligned with the District's needs and programs. For example, a \$10,000 grant paid for the financial oversight for the school year 2019-2020 which offset expenses that would have been paid by general fund.

The District was also the first K-1 Ohio District in the STEM¹⁰ Learning Network in 2014. The High School offers ten 4-year Career Pathways. The District has a district-wide focus on project-based learning. Over the past two fiscal years the District received more than \$753,200 to expand the opportunities grants that have also helped to shore-up the District's overall budget. While the funds from the recent opportunities grants are restricted to grades 6-12 CTE or STEM programming (supplies, salaries, professional development, and equipment), the grants allowed the District to

⁸ "CAUV projections for the 2020 tax year, which represents the first year without the phased-in procedure, expects a further decline in the average CAUV value to \$585 which would be a -33% change from current projections in 2019." *Ohio CAUV Value Projections for 2019 and 2020*, Department of Agricultural, Environmental and Development Economics, The Ohio State University, R.Dinterman and A.L. Katchova, 2019-05-24. Accessed on the internet 6/23/20 at: <<https://aede.osu.edu/sites/aede/files/publication_files/CAUVProjectionsReport2019.pdf>>

⁹ Supt. Layton had worked for agencies where he evaluated grant applications. To improve the top line (revenue) of the District the Board provided him supplemental contract for grant writing since that is a major function and not inherently administrative as is the Superintendent position. Similar to other supplementals (eg coaches) the remuneration is insufficient to the efforts.

¹⁰ Science, Technology, Engineering, Mathematics.

maintain and also expand its educational programming opportunities that would not have been possible if the District had to rely solely on revenue in the general fund. The District has been particularly enterprising in assessing grant opportunities and securing them. EX 29.

The District has an aging population; home owners move in, raise their children and stay when they are gone. As of October 2019 the in-district enrollment has steadily decreased over the past 14 years. Without open enrollment, the enrollment would be 1,192 compared to 1492 fifteen years ago before open enrollment. The District has increased its open enrollment population each of the past 14 years from 54 to 284 students. Today 20% of the student population is open-enrolled. Each open enrolled student in the District accounts for approximately \$6,000 additional revenue to the District from the State. The cost of service is minimal cost (i.e., approximately \$200 per student). Students lost to open enrollment elsewhere occurs only where services cannot be provided. The result would be a loss in the State funding but no loss of local financial support. Because of the variety of services in the District for open enrolled students, there is minimal need for obtaining such service elsewhere.

The District undertook a number of efforts both to decrease expenditures and to increase revenues. Supt. Layton described three recent years of budget and staffing reductions as well as planned reductions of employment positions in summer and staffing reductions for the 2020-2021 year. Employment has been reduced chiefly through attrition. Supt. Layton's preferred method appears to be reassign responsibilities of the attrited incumbent to be shared by one or more other employees. This is most prevalent in the "administration" positions but also involves bargaining unit staff.

Some reductions in forces (RIFs) were also accomplished through suspensions of one year and expiring contracts. In making such adjustments, the District has tried to maximize efficiencies. The Board has combined job responsibilities to help reduce and minimize costs.

For example, Northwestern does not use guidance counselors but building administrators coordinate pupil support programs at the building levels and serve as parent liaisons. The Associate Superintendent coordinates and oversees district-wide pupil support programs with a pupil support liaison for the High School as well as transportation management. The Elementary Assistant Principal serves as pupil support while the Middle School Principal serves as Guidance Counselor.

Nonetheless, the District forecasts deficit spending in FY2021 despite revenue enhancement and additional cuts. Part of the loss is projected by the 5-year Forecast (May 2020) is based upon anticipated lower open enrollment of 10 students due to parents deciding to send their children to their resident (home) district or none at all (i.e., home schooling) because of the COVID pandemic.

CRITERIA #4 LAWFUL AUTHORITY OF THE PUBLIC EMPLOYER

The Parties did not directly contest this criteria. The disputed issues are within the lawful authority of the County for the next two years. The lawful authority becomes an issue in the out years in which there are projected negative fund balance carryovers. Lawful authority also encompasses the rights and obligations of the public employer. As such that is relevant to certain language issues below.

CRITERIA #5 STIPULATIONS OF THE PARTIES

The procedural stipulations of the Parties as to the holding of the hearing, submission of positions and date of award. **Appendix A.** R.C. § 4117-9-05(G) gives the Parties the ability to agree to extend all statutory fact-finding deadlines. The substantive stipulations are the TA's. **Appendix B.**

CRITERIA #6:

OTHER FACTORS NORMALLY CONSIDERED IN THE DETERMINATION AND SETTLEMENT OF THE ISSUES

A. *General Standards and "Breakthrough" Issues*

The general standards of interest arbitration are part of what the sixth criteria refers to. See ELKOURI & ELKOURI, *How Arbitration Works* (6th Ed., Ruben, BNA, 2003) at pp. 1358-1364:

" . . . [interest arbitration] calls for a determination, upon considerations of policy, fairness, and expediency, of what the contract rights ought to be. In submitting this case to arbitration, the Parties have merely extended their negotiations – they have left it to this board to determine what they should, by negotiation, have agreed upon. We take it that the fundamental inquiry, as to each issue, is: what should the Parties themselves, as reasonable men, have voluntarily agreed to?" *Twin School District Rapid Transit Co.* 7 LA 845 at 848 (McCoy *et al.* 1947)

The advisory fact finding under Ohio's public bargaining law is intended to answer the question: what would reasonable Parties agree to? That standard has its limits in impasse procedures. As Arbitrator Goldstein explained:

The traditional way of conceptualizing interest arbitration is that Parties should not be able to obtain in interest arbitration any result which they could not get in a traditional collective bargaining situation. Otherwise, the entire point of the process of collective bargaining would be destroyed and Parties would rely solely on interest arbitration rather than pursue it as a course of last resort. *City of Burbank, Illinois and FOP*, S-MA-97-56 (Goldstein, 1998) at pages 9, 11.

The intent for interest arbitration, even one that is advisory, is to prevent Parties from taking pre-arbitral stances that are as unreasonable as possible in hopes that the interest arbitrator who obligated to select among the proposals will choose theirs. This is also applicable to reasonable proposals. Arbitrator Edwin Benn, under the similar Illinois bargaining law stated in *Cook County School District & County of Cook and AFSCME Council 31*, L-MA-09-003, 004, 005 and 006 (2010) at 7-8:

... [I]nterest arbitration is a very conservative process which does not impose terms and conditions on Parties which may amount to "good ideas" from a party's (or even an arbitrator's) perspective. For a party in this case to achieve a changed or new provision in the Agreements — particularly for non-economic items — the burden is a heavy one. See my recent award in *City of Chicago and [Fraternal Order of Police, Lodge No. 7, (2010)]* ... at 6-7 [citation omitted, emphasis in original]:

... "The burden for changing an existing benefit rests with the party seeking the change ... [and] ... in order for me to impose a change, the burden is on the party seeking the change to demonstrate that the existing system is broken."

Being "broken" seems a high bar. Arbitrator Finkin applied a three-point test: "whether (1) the City has shown a legitimate interest in the change it seeks; (2) the proposed change meets the City's legitimate interest without imposing undue hardship on the Association, and (3) the City has proposed an adequate quid pro quo for the proposed change." *City of Danville and PBPA, S-MA-12-330* (Finkin, 2014), p. 13.

There are differences in the Ohio interest arbitration jurisprudence. First, fact finding is advisory and intended to be more exploratory of the possibility of agreement which may have evaded the Parties. Second, there is a limited tradition of *stare decisis* in Ohio. Each bargaining session is considered *sui generis* given good faith persists. Nonetheless, the Illinois approach to break through issues is well grounded in the purpose of interest arbitration. It is not supposed to be a substitute for negotiating but a last resort. Interest arbitration should not be a wager on the open issues but a continuation of the statutory good faith bargaining process. That is chief among the factors normally considered in the settlement of bargaining issues. This approach will be applied under Criteria #6.

B. Statistical Data

Typical data considered under this criterion are statistics relative to the national and state economies. Missing from this presentation is the cost of living. Typically considered with this is the unemployment rate. Other data is also relevant here.

The adjustment called the Cost of Living Adjustment, or COLA, is based on the Consumer Price Index for All Urban Consumers (CPI-U). In the last 7 years it has ranged from 0% in 2016 to 3.6% in 2012. The increase for all of calendar 2019 was 2.8%. According to the Bureau of Labor Statistics, consumer prices increased 2.3% for the 12 months ending February 2020.¹¹ Over the most recently reported 12 months (May 2019-May2020), the all items index increased 0.1% before seasonal adjustment as reported June 10, 2020.¹²

¹¹ <<<https://www.bls.gov/opub/ted/2020/consumer-prices-increase-2-point-3-percent-for-year-ending-february-2020.htm>>>accessed June 22, 2020.

¹² << <https://www.bls.gov/news.release/pdf/cpi.pdf>>>.accessed June 22, 2020.

The unemployment rate for May 2020 is 13.7% and in June 2020 it is 11.1%. These are down from 17.8% in April. Before the pandemic the unemployment was running 4.0% in early 2020.¹³

One data point the District made was the "At Risk" population.¹⁴ It exceeded 42% for FY2020 and will be higher for FY2021

C. The COVID19 Pandemic of 2020

The novel coronavirus pandemic (COVID 19) is not a matter of ability to pay (Criteria #3) but a change of relevant circumstances that may be considered under Criteria #6. At a minimum it creates a context for the economic statistics and other evidence.

In Ohio with the first reported COVID cases, the State issued an emergency health order on March 9, 2020.¹⁵ That was followed by orders of school closings and a ban on gatherings of more than 100 on March 12, on closing restaurants and "non-essential" businesses on March 15 and ban on elective surgeries on March 20. On March 22 a stay at home order was issued, effective through April 6. The school closure order was extended for the balance of the school year. On April 27 the Governor issued the "Responsible Restart Ohio Plan." The stay at home order that had been extended to May 1 was extended to May 29 and then to July 1, 2020.¹⁶ It was then rescinded May 19, 2020.¹⁷ On June 2, 2020 the reopening of K-12 schools subject to local board oversight was permitted for the fall.¹⁸ Additional guidelines were issued for schools on July 2, 2020.¹⁹

The impact the COVID19 outbreak has on the Employer is as potentially significant to the

¹³ For May: <<<https://www.bls.gov/eag/eag.oh.htm>>> accessed June 22, 2020.
For June: <<<https://www.bls.gov/news.release/pdf/empst.pdf>>> accessed July 2, 2020.

¹⁴ The term at-risk is often used to describe students or groups of students who are considered to have a higher probability of failing academically or dropping out of school. GLOSSARY OF EDUCATION REFORM, Great Schools Partnership, Aug 29, 2013. Accessed on the internet 6/23/20 at <<<https://www.edglossary.org/at-risk/>>>

¹⁵ A list of Ohio orders are found at ODPS *Ohio Emergency Management Agency COVID-19 Releases* accessed on the internet at Ohio.gov: <<https://www.ema.ohio.gov/COVID19_PressReleases.aspx>>.

¹⁶ <<<https://coronavirus.ohio.gov/wps/portal/gov/covid-19/resources/news-releases-news-you-can-use/new-health-orders-signed-5-29>>> accessed June 22, 2020.

¹⁷ <<<https://thehill.com/homenews/state-watch/498567-dewine-lifts-last-of-ohios-stay-at-home-order>>>

¹⁸ <<<https://coronavirus.ohio.gov/wps/portal/gov/covid-19/resources/news-releases-news-you-can-use/disparity-k-12%2Breopening-medical-pros-funding>>>

¹⁹ <<<https://www.news5cleveland.com/news/continuing-coverage/coronavirus/local-coronavirus-news/gov-mike-dewine-announces-guidelines-for-k-12-schools-in-ohio-to-reopen>>> accessed July 2, 2020.

employees. The consequence of both the potential reduction in revenue sources potentially further impairs the District finances. The District's revenue produced by the income tax levy and property taxes may be curtailed in the year 2020 as a result of unemployment related to the pandemic. Clearly income tax is reduced with reduce income but property tax can be delayed by insufficient resources as a result of the pandemic. Already revenue reduction from the State of Ohio in the amount of \$200,000 has been announced. There could be additional state cuts based on the State's success at collection of sales and other taxes. Local tax receipts are no less adversely affected. Reduction in open enrollment caused by parents who choose home schooling for any continuation of the pandemic is another revenue loss.

Whether or not the economy will grow or recede is it self imponderable. Uncertainty is the fact. Supt. Layton who serves on the Governor's Task Force on Education testified that the Governor expressed the view that normal operations are not likely in the next one or two years.

RECOMMENDATIONS

ISSUE: Tentative Agreements

CONTRACT SECTIONS:

At the opening of the hearing both of the Parties agreed that the Articles that remain current contract language and those as agreed shown as in their respective TA's for each Unit, except the those subject to the impasse procedures, be recommended.

POSITIONS: The District: Agreed.

POSITIONS: The Association: Agreed.

FACT FINDINGS : Criteria #1 and #5. The pre-hearing Tentative Agreements are those listed under the first four classes of TA's or CCL at **Appendix B**.

ISSUE :TA's Recommendation: The Fact-Finder recommends the continuation of current contract language and the terms as modified by the tentative agreements of both Units on all but the open impasse issues.

ISSUE: Catch-all Issues

CONTRACT SECTIONS: TBD

POSITIONS: The District: Unstated.

POSITIONS: The Association: Unstated.

FACT FINDINGS :In the event a disputed issue has not been specifically addressed and has no recommendation made, it will be CCL unless covered by a TA because one or both parties have failed the burden of production and/or proof.

ISSUE: Catch-all Recommendation: The Fact-Finder recommends CCL unless TA'd.

ISSUE: Insurances

CONTRACT: Article 21 — Insurances
and Appendix [H and I] [new]

POSITIONS: The Association's Proposal : The Association's proposal would retain Article 21 (the COG Mimic program) of the expiring agreement including 92/8% premium split with the exception of revision to the annual deductible (in/out network) becoming single \$500/\$1000 and \$1000/\$2000 Family.

POSITIONS: The School Districts Proposal: The Employer proposes revisions as shown in its pre-hearing statement that would be effective September 1, 2020:

Premium split: 85/15%.

Phase in spousal requirement (ie that an employee's spouse enroll in coverage offered by spouse's employer) for all employees effective January 1, 2020.

Health Care Committee (HCC) to study the health care insurance coverages and identify other potential means of reducing the District's cost of health care.

All other revisions per the April 15, 2020 final proposal remain:

The 2019-2020 Summary of Benefits and Coverage are become appendices, one for the health program and the other for prescription drugs. They include:

Increase deductible and co-pays per EX2.

Add disincentives to use of urgent cares clinics or emergency rooms per EX2.

FACT FINDINGS: Criteria #1, #2, #3, #6.

The Board's health insurance covers nine single members and 75 Certified members with a family plan. The Classified unit has 45 of 51 members covered, 13 single and 32 family policies. All exempt and administrative employees – including the Superintendent and Treasurer – have the same insurance plans, premium co-pays, and costs. In addition, about six employees do not have coverage through the Board.

In the early 2000's Stark County had created a consortium for a self-insured healthcare program for its Council of Governments ("COG"). Northwestern Schools and the Association explored the potential for joining the Stark COG. It was discovered that in order to participate the District would have to front some (or all) of an allocated reserve for the program and would be required to accept other conditions such as the dental program, also having a reserve. The "buy-in" was significant enough that the parties agreed that the Board would adopt a plan equivalent to the Stark COG, known as the "COG Mimic."

In the 2010, when Mr. Beck was on neither bargaining team, the Parties agreed the Board would "provide medical insurance the equivalent of the Stark COG Plan." The Parties adopted the COG schedule of benefits with co-payments and deductibles with a Third Party Administrator (TPA) to manage the self insured plan. For good measure the COG schedule of benefits was reproduced in the

Agreement. The monthly healthcare premium was to be divided 92%, Board and 8%, employees.

This program continued year after year. As Mr. Beck stated in 2013, when he first was on the Board bargaining team, the parties merely continued the insurance plan on the same basis. In early 2018, Supt. Layton discovered that over the years the Stark COG had changed its schedule of benefits and co-payments/deductibles. The Board announced it would commence revision of its COG Mimic to the updated Stark COG Plan effective July 1, 2018. The Association took formal steps to object. UX 11. The Board read the CBA as requiring automatic updating to the prevailing COG while the Association read the same CBA as promising the specific schedule of benefits that had been reproduced in the document without change. Ultimately the Board agreed to postpone consideration of the change until the 2019 bargaining term.

Board argues that its 4/15/2020 Counter Proposal was reasonable and consistent with the health insurance programs offered by comparable districts. However, having confronted the economic prospects of the COVID pandemic and the passage of time, it believed it was required to revise its proposal for the hearing. It retained most of the April 15 offer but accelerated the implementation of the premium split and the spousal clause which were earlier proposed to be phased in. It maintained its proposals on the schedule benefits and the Health Care Committee in particular.

The Association acceded to only one change, that of the annual plan deductibles. When it reviewed the cost study of the Stark COG, the Association identified that the change of the annual deductible would produce a savings to the Board. It argued against changes in the urgent and emergency care is being too small or contingent to be considered. The Association's argument was that savings was sufficient to support the modest wage increase that it was proposing but that it was unwilling to shoulder more of the Board's burden.

The Association also argued that in the event it would be required to accept financial changes in the manner proposed by the Board, its multiple language proposals were viewed by the two units as compensatory. That is not a tenable bargaining position. Some language terms such as holidays etc. do have an economic component, but many do not. There is no way to evaluate those in an economic context. They are rather a regulatory weight that represents a cumulative increase in undeterminable costs, including opportunity costs. As such they should stand on their own merits and be adopted as prudent, and not adopted as prudent.

Premium Split Adjustment

By now most districts charge or exceed the 85/ 15% split of the monthly premium paid by employees as shown below the SERB Clearinghouse data (EX 11). It is supplemented with miscellaneous healthcare data submitted by the Board (EX 12) accumulated by the TPA chiefly from the Stark COG. Unless noted the "Family" percentage also applied to single contracts. Only PPO style programs, which is what the COG Mimic is, were compared.

<u>District</u>	<u>Family</u>	<u>Single</u>	<u>EX 12</u>
Green 2019	80/20		
Orrville A	80/20		
Chippewa	85/15		
Green 2020	85/15		
Mapleton	85/15		
Northwestern 2020	85/15		
Norwayne	85/15		
Wooster	87/13		
Southeast *	90/10	89/11	80/20
Northwestern 2019	92/8		
Hillsdale	95/5	90/10	
Triway	95/5		

Note: According to EX 12 three districts (Triway, Dalton, Orville B) charge a dollar amount rather than a percentage split. Of them Triway now charges a percentage split per SERB (EX 11).

The Stark COG does not specify the premium split but allows its members to determine that separately. The Board's proposal moves the District from one of the three charging less than 10% to the cadre seven (including Southwest per EX 12) charging 15% or more. That is a reasonable adjustment in the abstract. It is an unfortunate deprivation of years of progress that employees of other districts have had in order to adjust to the higher cost. That could counsel a phased-in approach proposed by the Board in April. However, the financial circumstances moved from bad to worse or maybe worst and the Factfinder agrees the 7% adjustment to the premium split is necessary for the financial viability of the District. The employee per month increase would be between \$2.76 and \$7.15. EX 21. This is the single most important change and one that brings the plan current so will be recommended. Each percent increase in the employee share is a savings of about \$32,000. A seven percent increase from 8% to 15% would be about \$220,000.²⁰ That can offset the ODE grant reduction as announced.

Although phasing the increase with an intermediate step is not financially prudent, the Board's proposal does have terms that somewhat ameliorate the adjustment. The proposed 85/ 15% split of the monthly premium applies to hospitalization and surgical insurance, both family and single plans.²¹ If both spouses are employed by the Board, the Board would pay 85% of either two single plans or one family plan. The Board also proposes to offer an employee +1 plan in the new agreement which should have an intermediate premium between the Family and Single policies.

Spousal Clause

The testimony by Supt. Layton, Treasurer Forbes and President Beck consistently emphasized that the spousal clause would have the potential of cost savings. Supt. Layton discovered that some

²⁰ Arithmetic applied to UX 14, ref. 10% and 12% increase in premium. Also EX 20: \$229228.47.

²¹ The proposed 85/ 15% split of the monthly premium applies to the dental plan.

employees who work for the nearby city school districts have enrolled their spouses in the Northwestern Schools program because it is "cheaper and better benefits." He felt it was particularly offensive that the Northwestern Schools finances were being used to support the obligations of other larger employers. However, when the Superintendent and Treasurer were questioned by the Association as to what the value of the savings from the spousal clause might be, they could not say. Treasurer Forbes stated she had spoken with the TPA and with the Stark County COG and received no answer. She said they explained that it would involve a great deal of data that was unique to each employer which neither they nor the District had.

The proposed spousal clause, although immediately effective in September 2020 in the newest employer's proposal, is one of the most liberal this Factfinder observed. There are many styles. The most conservative is that all employees would be covered only by a single plan unless there were dependents. Some would insist that the spouse's coverage pick up the dependents. Some were styled that only if the spousal coverage did not cover the employee could the employee be covered.

None of these were proposed by the Board. Rather it proposed that employees with working spouses enroll in their employer's plan as *primary*. The Factfinder's understanding is that a spouse would then be covered by both plans with the Board's plan being secondary and picking up only incidental costs. However, the Board adds the condition that if the spouse was required to pay 40% or more of the premium, the spousal clause would not apply. There are many such plans particularly in the unorganized workforce and small businesses. Often self employed spouses pay 100% of premium.

The Factfinder would recommend this clause over just about any other exemplar except for three facts. First, no one knows what the savings could be. Moreover this is a short-term contract which is abbreviated even more by the loss of two months of coverage. Finally, according to the Employer's position papers, only 139 employees (both units) are covered by the plan. With 15 administrators and a total of 164 employees, that leaves six not taking the insurance. Some sort of savings may have already been realized, from the very selection against the Board's plan in favor of spousal coverage elsewhere. Thus, how much of an improvement might be obtained under the circumstances by a spousal clause is questionable especially in the short term. The spousal clause is not recommended *at this time*. What is recommended is that the spousal clause be a prime consideration of Health Care Committee which should be charged with the obligation of developing data that would indicate what spousal coverage is available for the bargaining units's spouses and the potential for savings.

Health Care Committee (HCC).

The Board urged the creation of the HCC repeatedly in its documents and at hearing but was met with very little response, if any, from the Association. As designed the healthcare committee also appears to be very liberal. The Board proposed the HCC of eight constituted of four administrative

representatives and four representatives of the two units.²² Typical of such committees is that they are advisory only. Consensus is often set as a value but consensus for decisions is not often a requirement. Instead the Board proposal allows for decision making authority by vote.²³

The committee style the Board proposes is one of plenary authority to gather information, retain consultants and make decisions by consensus. If consensus is not reached, the *status quo* remains in place for an additional year. Because this is a short-term contract, the parties will have opportunity to experience a learning curve on the functionality of this style. It will be recommended with the minor changes mentioned.

Schedule of Benefits and Co-payments.

The Board proposes that there be two additional appendices that outline the terms and conditions of the plan *vis-à-vis* the employee. In its proposal the CBA terms are limited to the description of the relationship between the Employer and the employees and the Association. Appendices for the schedule of benefits is a typical placement of such terms. It is referred to here as the "Schedule of Benefits." Although that term usually refers to the types of indemnities that the plan will pay, it is here used to include other terms and conditions as between the employee and the plan such as co-payments and deductibles and co-insurance. One of the Appendices describes the hospitalization surgical and medical provisions the other describes the pharmacy benefits. Both are intended by the terms of the CBA to be "comparable to the Stark COG" unless and until the Board with consensus of the HCC adopts the Stark COG.

²² Article 21 H3 identifies the HCC participants and is problematic in that it refers to "unions" of which there is only one. It is also not clear as it could be as to the number of representatives of each of the units. It should be revised to read:

3. The HCC shall be composed of not more than eight members with up to four representatives from the Board and four representatives from the Association, two from each unit, Classified and Certified employees respectively. The Association may also have up to two observers at each meeting. The Superintendent shall serve as the chairperson of the HCC. The Board Treasurer shall keep the minutes of all meetings of the HCC which will be shared with all members, when practicable, not later than 24 hours before the next meeting.

²³ The mechanics of the vote is somewhat unclear with the membership clause as proposed by the Board. Also no quorum is stated. The recommended revision to Article 21H4 reads:

4. All decisions of the HCC shall be achieved by consensus of the membership not majority votes, a quorum being present. Consensus of three agreeing with the decision is required as measured by the administrators present constituting one vote, and the units each having one vote apiece. Observers are not counted in the consensus or votes. The quorum for taking action is five members, and a minimum of one for each voting group.

The hospital medical surgical appendix [Appendix H] recites the identical schedule of benefits from the preferred provider organization under the COG Mimic of the former agreement.²⁴ What is changed in the final proposal of the Board of the co-payments and deductibles.

The hospital medical surgical program of the Board is a 90/10 preferred provider organization.²⁵ It maintains two general panels of providers (e.g. hospitals/physicians) identified as network and non-network. The indemnities paid by the plan are more generous to the network panel. Other than the stated amounts as deductibles, the plan pays indemnities of 90% of the incurred charges and the employee pays 10% for in network providers, otherwise 80/20. Many of the non-network providers are compensated on a coinsurance basis meaning a percentage of the charges split between the employee and the indemnities provided by the plan. The co-payments and deductibles are generally double for non-network providers.

The Board proposed to increase the annual deductibles payable by the employees. Formerly it was \$100 per single contract and \$200 per family contract. The Association acceded to only one change in the Schedule of Benefits, that of the annual plan deductibles. When it reviewed the cost study of the Stark COG, the Association identified that the change of the annual deductible to \$500/1000 would produce a savings to the Board of \$151,717 with OOP at \$600/1200. (UX 14) However, it proposed that the OOP remain unchanged, ie. \$500/1000. That reduced the savings to \$90,000 per the testimony from both the Board and the Association. The Board proposed the same annual deductibles but with OOP of \$750/\$1500 (network) and twice that for the non-network. That would improve the savings above that of the \$150,000 where the OOP was \$600/1200. UX 14.

The Board proposed co-pays of \$10 PCP, \$25 Specialist, \$250 Emergency, and \$100 Urgent care. Examination of the materials indicates to the Factfinder that these were not present in the COG Mimic. The Association opposed these co-pays as being too small or contingent to be considered. Other preventative care charges were stated at 100% which is similar to what was provided formerly.

The comparison of the chief provisions amended by the Employer's proposal with other districts shows as follows for network providers and ranked per annual deductible. (EX 11).

²⁴ The Factfinder could not locate the provisions to be listed in the pharmacy appendix [Appendix I] in any of the materials. It is sufficient that the intent refers to the Stark COG pharmacy benefits which should be self-evident to both parties, If not the HCC can sort out what that may be. Co-payments for the pharmacy benefit are listed in the CBA proposed by the Employer.

²⁵ Ie. PPO. Other abbreviations for health care are: OOP (out of pocket), PCP (primary care physician) and figures set by "/" refer to single/family (F/S) coverage.

DISTRICT	ANNUAL DEDUCTIBLE NETWORK (F/S)	ANNUAL OOP (F/S)	COPAYS PCP, SPECIALIST, ER, URGENT
Northwestern 2020 Bd.	500/1000	750/1500	10, 25, 250, 100
Northwestern 2020 Assn.	500/1000	500/1000	X/X/X/X
Orrville A	250/500,	1000/2000	X/X/X/X
Wooster	250/500	1000/2000	X/X/X/X
Mapleton	250/500	X	X/X/X/X
Hillsdale	150/325	950/1500	X/X/X/X
Norwayne	150/300	150/300	X/X/100/X
Green	150/300	650/1310	X/X/75/X
Triway	100/500	500/1500	20/X/75/X
Chippewa	100/250	1250/2250	X/X/X/X
Northwestern 2019	100/200	500/1000	X/X/X/X
Southeast *	100/200	500/1000	X/X/X/X

X indicates the field for such data in EX 11 was blank.

The change in the annual deductible alone moves the Northwestern plan from the bottom tier of 100/200 deductibles to above the top tier of the comparable districts at 250/500. In fact both the Board and Association proposals accomplish that. The difference is that the Association maintains the former OOP which is also the maximum amount to be paid by the employee. Under the Association proposal, meeting the deductible satisfies the OOP as well. The Factfinder's understanding of this type of policy is that satisfying the OOP precludes any obligation for the 90/10 split of the charges. The Association's proposal where the deductible is the same as the OOP effectively nullifies the 90/10 design and likely the specific co-payments. Association's proposal is therefore more like Mapleton. That fact alone would require the Factfinder to recommend the Board proposal on the annual deductible and OOP.

The recommendation turns on more than one fact, in this case the comparisons and costs. Other than the dramatic move of the District to the top of the list of annual deductibles, the comparisons are also remarkable in that virtually none of the other districts have the special co-payments for PCP, Specialist, ER, and Urgent care. The District would be alone in requiring those co-pays. The special co-payments identified by the TPA show that the design of 25/50/75/250 could save the Board \$163,616. UX 14. The proposal with the special co-payments of 10/25/250/100 was not specifically costed but intuitively would save less.

The Board makes a comparison of its final 5-year Forecast with two *pro-forma* studies of that forecast to show the year end balances. The Board's adopted May 25 forecast filed with ODE was predicated on assumptions of 5% increases in real estate and income tax revenue and the projected reduction of \$200,000 in revenue from the State. That same May 25 year forecast was adjusted to take into account the April 15 offer on salaries and insurance. The Board's next *pro-forma* forecast presented at hearing takes into account the June proposal on salary and insurance. Finally the Board costed the Association proposal with the 0.25/0.50 salary increase and its insurance proposal.

LINE 12.10 FUND BALANCE (6/30)

May ODE Forecast	FY2020 = \$755,570	FY2021 = \$164,396	FY2022 = -\$945,914
April Offer Forecast	FY2020 = \$755,570	FY2021 = \$387,885	FY2022 = -\$362,997
June Offer Forecast	FY2020 = \$755,570	FY2021 = \$451,554	FY2022 = -\$357,562
Assn. Offer Forecast	FY2020 = \$755,570	FY2021 = \$221,957	FY2022 = -\$847,637 (EX 19)

The salary position for each Board forecast is the same. What changes is the Board's proposals for insurance. The April forecast had a two-step approach to the premium split and the spousal clause but with the same proposed Schedule of Benefits. The June forecast used the 85/15 premium split and an accelerated spousal clause but again with the same Schedule of Benefits.

The annual expenditures line shown in all the forecasts is \$15,336,617 which computes to approximately \$128,000 per month. The carryover balance is a reserve against expenditures until revenue arrives in the following year. As such the GAAP standard is that for public entities is that 3 to 6 months expenditures should be carried over at the beginning of the year.

The forecast for FY 2020 was unchanged since the scheduled salary and insurance features did not occur then. Comparison of all forecasts based on various offers above show that all the 2020 forecasted carry over being \$755,570 equates to approximately six months of expenditures.

However, in 2021 the carryover is highly dependent upon the offers representing new expenses. The Board's April forecast ended the year with 2 ½ months, and the June offer with 3 ½ months expenditures respectively. The Association's offer is 1.6 months of expenses. As Treasurer Forbes testified that is the equivalent of one month payroll plus the light bills.

The cost considerations indicate that the Board's annual deductible and OOP proposal are absolutely necessary. The difficulty lies in the specific co-payments which do not appear among any of the other comparative Districts. Factfinder is well aware that, with such meager carryover at year-end 2021 and uncertifiable deficits thereafter, every cent counts. However, the key part of the Association's proposal, the 92/8 premium split, is a significant factor in creating low carryover. With such a short-term contract it seems prudent to attempt to reap the rewards of the Board's co-payment and OOP proposal along with the 85/15 premium split but to put the special co-payments on the back burner. The recommendation will be that the schedule of benefits appendix reflect the Board's annual deductible and OOP but not the co-payments for PCP, Specialists, Emergency and Urgent care.

ISSUE: Article 21, Insurances – Recommendation:

The Fact-Finder recommends the Employer proposal made at hearing be adopted with three exceptions: The spousal clause is not recommended. It is recommended the HCC membership section Art. 21 H3 and 4 be revised as stated. The recommendation is that the Schedule of Benefits and Co-payments appendix reflect the Board's annual deductible and OOP but not the co-payments for PCP, Specialists, Emergency and Urgent care and the pharmacy benefit appendix be completed by the HCC if not already apparent.

ISSUE: Wages

CONTRACT: Article 19 — Wages

POSITIONS: The Association's Proposal :

1. General increase on base for wages annually over the term of a two year contract of 0.25%, 0.5%, in the introductory paragraph as follows:
Salary schedules shall be updated to show a 0.25% increase on the base effective July 1, 2020; 0.50% increase on the base effective July 1, 2021.
2. Salary Schedules. Update with calculations plus: Add Step 12 all schedules; add : "Drivers will receive their regular rate of pay for Field Trips."
3. Paragraph G. CCL.

POSITIONS: The District's Proposal :

1. General increase on base for wages annually over the term of a two year contract of 0.0%, 1.0%, with the introductory paragraph as follows:
Salary schedules shall be updated to show a zero percent (0.0%) increase on the base effective July 1, 2019, and a one percent (1.0%) increase on the base effective September 1, 2020.
2. Salary schedules. Update with calculations plus: Modify the schedule for Librarian Technician; delete the Groundskeeper and Head Maintenance Class #1 salary schedules; and rename the Head Maintenance Class #2 to Maintenance Assistant & Groundskeeper.
3. Delete Paragraph G, Tests/Investigations of Current Bargaining Unit Members.

FACT FINDINGS: Criteria #1, #2, #3, #5, #6.

Salary Increase

Supt. Layton testified that the District attempts to maintain competitive salaries and benefits for its employees as compared to districts both stateside and in Wayne County. The staff received a minimum one percent (1%) or greater salary increase each year since at least 2005 over and above the step and grade increases. In the expiring contract, there were annual increases to the base of 1%, 1%, and 2% all on July 1 of each successive year from 2016 to 2018.

In addition salaries were adjusted through annual progression by a step system with annual increments each year beginning with step zero years (new hire) for the first 10 then each 5 years after that until 25 years. There is a step system for each of the listed classifications. The step increases are effective August 1 of each year. The cost ultimately used by both parties of the automatic progression through the grid was 1.5%. The annual base increases were used to adjust the entire grid by whatever percentage was agreed. The comparisons discussed below will use the step zero and top step in each step after the annual base adjustment.

The 2019-2020 contract year is 0.0% in both proposals. The Association's base increase proposal for 2020-2021 was 0.25% raise to base salary or \$11.33 per hour on July 1, 2020. The Association's base increase proposal for 2021-2022 was 0.50% raise to the base salary or \$11.39 per hour on July 1,

2021. The base is then multiplied by the step system factor listed for each classification. For example, the Aide Step 0 factor is 1.050 so the Step 0 wage becomes \$11.90 in 2020 in the Association proposal. The bus driver factor is 1.472 for Step 0 which is a 2021 salary of \$16.77 in the Association proposal.

The extraordinarily low increases proposed by the Board and the Association to not approximate the cost of living but the Association's appears to be lower than the District proposal over the term of the agreement. The Association argues this is in part done in dismay over the credibility of the District's financial data. To the Factfinder it is rather a recognition that the dire picture from the District finances is an accepted as fact that the Association is attempting to work with, notwithstanding that it resents having to do so. The Association and employees are somewhat in the position of a trust fund beneficiary being informed by the fiduciary that it had invested heavily in Lehman Brothers stock. The Association is willing to assist but is not willing to assume the full weight of the Board's situation.

The most stridently argued of its claims is that the Board has yet to commit to any meaningful changes such as in spending particularly for administrative personnel.

The number of personnel identified as administrators by the Association is 15. The board disputes that number in claims that administrative designation is one of default for the positions that are non-bargaining unit because of exemptions. Nonetheless the number 15 has appeared on the 2019 SERB reports compiled from the district data. UX 2 p.10, EX8. In the SERB comparison with other Wayne County, the District's number of administrators is surpassed only by Chippewa with all the others being less, with the 2019 SERB average of 11.46 administrators. Statewide average is 20.23.

To test whether this is top-heavy same report shows per pupil administrator ratios for the county. Again only Chippewa is similar all the others are far more. Northwest is 75.5 pupils per administrator but the other districts range from 101 to 141 with an average of 135.17 pupils per administrator. This is certainly somewhat conclusive of a top heavy demographic.

However, the Association disclaims any interest in the number of administrators being more concerned with the administrative expense on the financial reports. The 2019 SERB comparison for Wayne County shows average administrator salaries. Northwestern at \$69,033.93 is below Hillsdale and Dalton and slightly above Southeast and Chippewa. It is also slightly below the average of \$70,066.33. Thus it compares as 3rd out of 8 districts. Consequently the financial burden of administrative salaries is about average on the per pupil scale. This lends some credence to the Board's analysis of the job titles classified as administration.

The same report shows the total administrative expenditure per pupil as well as instructional expenditure per pupil. Northwest administrative expense on the scale is \$1,223.70 and for instruction is \$7,056.83. Total per pupil expenditures are \$11,906.49. That makes administration 10.3% of the

per-pupil expense while instruction is 59%. This compares with the county average for administration \$1,556.63, instruction \$6,690.91, total \$11,326.68. The county ratios are 13.7% administration and 59% instruction. The expenditure for Northwestern administrators' on a per-pupil scale rank 6th out of 8 districts, surpassed by all but Norwayne. Total administrative expense for Northwestern is 3.4% less on the per-pupil scale than on all the other districts.

The facts found are that, notwithstanding what the number of administrators might suggest, the Association has little to be concerned over the administrative burden in the financial picture. In aggregate dollars it has been virtually unchanged since 2016. EX 27. Given the dire straits of the District, it could always be less but so could the instructional cost. Both in fact are in the average/median range for the appropriate comparisons. Neither one nor the other is being asked to make a greater sacrifice than the other for the steadying of the financial ship.

The Association's modest wage proposal is packaged with its proposal on Article 21, Insurances, to partially mitigate, but not to fully offset, the financial effects of that proposal. The Board's formal proposal at fact-finding is 0.0% and 1.0% for two-year contract. However, in the details it is clear that the 1% is deferred from July 1 to September 1, 2020 owing in part to the pending statutory impasse procedures. That deferral is 1/6 of the year which converts the 1.0% to a cost of 0.833%. That is comparable to the Association two year increase of 0.75%.

The Board's final proposal of April 15, 2020 had been for a three-year agreement with increases of 0.0%, 1.0%, 0.0% effective July 1 of the respective years. That proposal included a contingency to allow a 1.0% increase on 07/01/21 provided the carryover balance was at least \$1.3 M. The Board receded from that proposal because of the change in the financial picture between April and June. The result was the year-end cash balance for 2020 came in below \$1.0 M, and below \$400,000 for FY2021, and with a negative projection for FY2022 (i.e. -\$945,914). The Treasurer became unable to certify a three-year contract. Consequently a two-year contract was proposed. The increase in the second year is offered by the Board in conjunction with proposed changes to the health care program.

The Association's proposal cannot be recommended. First it did not take into account the fact that the third year of the proposed term is not certifiable. That was not evident until the hearing. The proposed wage increase of 0.50% for that year is hence unsupportable regardless of size. In addition both parties had tied their wage proposal closely to the insurance program provisions of their proposal. Perforce the wage proposal related to the savings from that program would save the most costs and must be adopted.

The financial ability of the Employer is only one statutory criteria, albeit in this case a predominant one. The comparative criteria for good reason deserves scrutiny before recommendation can be made. That criteria assures the employees that their earnings are within a reasonable range of comparable employees. For the wage comparison the Board relies upon The December 2019 Certified Negotiation Data by the Tri-County Educational Service Center (ESC). EX 9. The ESC

made comparisons of "Actual Salary" and "Real Salary" among the various constituent districts. The Actual Salary listed is adopted salary schedules for the 2019-2020 school year. The Real Salary is defined as the Actual Salary plus additional STRS pickup if applicable, minus the employee share of insurance premiums. It is a proxy for "take-home pay."

The Classified unit is grouped for the comparative discussion by annual hours and days of work. The designation under "Schedule" is the Factfinder's shorthand. The three groups are:

<u>Schedule</u>	<u>Annual Work</u>	<u>Job titles</u>
Full	8 hrs. 260 days	Secretaries, Maintenance, Custodians, Mechanics
Limited	6 hrs. 178 days	Media Aides, Teacher Aides
Part time	5 hrs. 178 days	Cooks, Bus Drivers (Drivers have 179 days/yr.)

Adjusting EX 9 per the discussion of the comparative districts under the second criteria (above), the District can be ranked as follows. In each group of 12, the districts are listed from high to low with the median district salary underscored; Northwestern is italicized. The group header also notes the highest, the median (designated "m") and the lowest salaries with the Northwestern salary italicized.

The Secretary classification is the sample used for Full Schedule. The comparison of the Step 1, 10 and top step by comparison to the 12 similar districts is as follows.

ACTUAL SALARY Year 2019-2020 : *Secretary*

Step 0 - 8hr/260da (\$36400, m\$29120, \$26478)

Ashland CSD, Wooster CSD, Orville CSD,
Dalton LSD, Chippewa LSD, Norwayne LSD, m
Hillsdale LSD, Southeast LSD, Mapleton LSD.
Triway LSD, Green LSD, *Northwestern LSD*.

Step 10 - 8hr/260da (\$39187, \$38123, m\$36098, \$32947)

Wooster CSD, Triway LSD, *Northwestern LSD*,
Dalton LSD, Southeast LSD, Ashland CSD, m
Chippewa LSD, Green LSD, Orville CSD,
Norwayne LSD, Mapleton LSD, Hillsdale LSD.

Step top -8hr/260da (\$42411, \$41018, m\$38438, \$36088)

Dalton LSD, Wooster CSD, *Northwestern LSD*,
Orville CSD, Triway LSD, Chippewa LSD, m
Southeast LSD, Hillsdale LSD, Green LSD,
Ashland CSD, Norwayne LSD, Mapleton LSD.

REAL SALARY Year 2019-2020 : *Secretary*

Step 0 - 8hr/260da (\$34807, m\$26769, \$24493, \$21788)

Ashland CSD, Wooster CSD, Triway LSD,
Dalton LSD, Orville CSD, Chippewa LSD, m
Southeast LSD, Hillsdale LSD, Mapleton LSD.
Norwayne LSD, *Northwestern LSD*, Green LSD.

Step 10 - 8hr/260da (\$38750, \$36141, m\$34108, \$29484)

Triway LSD, Wooster CSD, *Northwestern LSD*,
Ashland CSD, Southeast LSD, Dalton LSD, m
Chippewa LSD, Mapleton LSD, Hillsdale LSD,
Orville CSD, Green LSD, Norwayne LSD.

Step top -8hr/260da (\$39535, \$39032, m\$35511, \$32147)

Wooster CSD, *Northwestern LSD*, Triway LSD,
Dalton LSD, Chippewa LSD, Southeast LSD, m
Hillsdale LSD, Orville CSD, Ashland CSD
Mapleton LSD, Norwayne LSD, Green LSD, .

In both salary designations, Northwest begins in the lowest quadrant at Step 0 and arises at Step 10 and top step to the highest quadrant. The explanation for the low initial showing is that the steps for other districts range from 0 to 28. Ashland has only one step with no progression aside from general increases. It begins at first place at Step 0 but steadily falls in comparison. Northwest has 14 steps over 25 years. Five of the districts have progressions about as long, between 24 and 28. In that cadre the comparisons are:

Step 0

Actual: Orville CSD Dalton LSD Norwayne LSD Hillsdale LSD *Northwest LSD*

Real: Dalton LSD Orville CSD Hillsdale LSD Norwayne LSD *Northwest LSD*

Step 10A

Actual: *Northwest LSD* Dalton LSD Orville CSD Norwayne LSD Hillsdale LSD

Real: *Northwest LSD* Dalton LSD Hillsdale LSD Orville CSD Norwayne LSD

Top Step

Actual: Dalton LSD *Northwest LSD* Orville CSD Hillsdale LSD Norwayne LSD

Real: *Northwest LSD* Dalton LSD Hillsdale LSD Orville CSD Norwayne LSD

Of the districts with similar step systems, Northwest Secretaries is at the front by Step 10 and the top despite starting lowest. As this demonstrations shows, the variance between the ranking in the actual and real comparisons are not significant enough to consider more than the actual salaries.

The actual salaries of other classifications can be compared to the same 12 districts with the following demonstration. In some of these districts for these classifications the step systems are non-existent. The number of years to top out varies widely. (eg. 7/10 is 7th out of 10 districts) Even so Northwestern's ranking is consistent with the other classifications discussed.

<u>ActualSalary</u>	<u>Step 0</u>	<u>Step 10</u>	<u>Step Top</u>
Maintenance	7/10	5/10	4/10
Mechanics	6/8	2/8	1/8
Custodians	7/12	2/12	1/12
Cooks	9/12	3/12	2/12
Bus Drivers	7/12	1/12	1/12
T-Aides	8/12	1/12	1/12
M-Aides	8/12	2/12	2/12

Northwestern by mid career is one of the top payers. Obviously, starting lower than the others it has shown a history of making up and surpassing the deficit. Considering the financial circumstances of the District that is respectable. Note that in both proposals, the salary of 2019-2020 is a 0.0% increase which is what is represented in the ESC (EX 9). The lesson is that even with a freeze in 2019, in an environment where other districts may be receiving greater increases, the salaries of Northwestern are solidly at the top of the comparisons for long term classified personnel. The comparisons do not discredit the recommendation of the District's proposal based on financial considerations.

Salary Schedules Proposals

Step 12. The Association proposed to add a 12th step to each classification which is an economic issue over and above the base wage increase. As mentioned the two proposals are extremely close otherwise. This would be a recurring cost and as such is not justified by the financial picture or the comparisons. CCL will be recommended.

Bus Drivers. The Association would insert language for drivers to be paid their *per diem* rate rather than the field trip rate. The Board asks for CCL which lists a single Field Trip. The rate appears in the salary schedules as if it were another classification but it is not. If this were truly the time to clean format up, that would have to go.

The Association argues that the *per diem* would be incentive for drivers to bid on field trips and that the Board has complained there has been insufficient numbers of bargaining unit members doing so. It adds that the cost is offset by parents raising funds for field trips. As to the latter the Board disagrees that the parents' efforts are close to costs. In either event, parent fund raisers is not a basis of funding for the District salaries. As an economic matter, this change would amount to a 39% increase for one classification (drivers) that no other would receive. (Compare Field Trip rate of \$12.04 in 2018 and 2019 to Association proposal for 2020 of \$16.68.)

As for field trips, the Board has made a number of proposals. See Article 32. It seeks to allow bumping in to the van driver position. That is often used on field trips and would increase the number of drivers available. It has sought to supplement van drivers with coaches. The Association would delete Article 32A¶4 to ensuring regular drivers could drive field trips. The regular rate would be part of such a negotiation. The regular rate is part of one of those break through good ideas the parties have to work out together. The proof is that the parties have attempted to address field trips in bargaining over a number of issues. However, it has not reached the standard of proving the field trip situation being "broken." That coupled with the financial picture and the short duration of the proposed agreement requires CCL to prevail.

Board Proposals. The Association proposes CCL on these. The Board would change the Librarian Technician salary schedule but the rationale is not clear on the record. The CCL will be recommended.

The Board seeks to bring the salary schedule into compliance with the parties' TA on Article 30 for Groundskeeper. Both Groundskeeper and Head Maintenance Class #1 salary schedules would be deleted and Head Maintenance Class #2 would change to Maintenance Assistant & Groundskeeper. As mentioned these classification changes were agreed in the deletion of Article 30. The CCL will be recommended.

Paragraph G. Tests/Investigations. The Board would delete language that would require that it pay for the TB tests or BCI²⁶ investigations of existing employees. These would be medical, drug or criminal related tests. The Association opposes. This is another of the Board's seeking to shift marginal costs to employees. The rationale is not clear. Even if it were only that too few occur to justify the cost, that would not be sufficient to relieve the Board of it. Of course to do so, also relieves the Board of the choice of testing entity which seems a more important matter than the cost. This will not be recommended.

ISSUE: Article 19, Salary – Recommendation:

The Fact-Finder recommends the Employer proposal be adopted for the annual general base wage increase. The Board proposals on Groundskeeper and Head Maintenance schedules will be recommended. As to all other proposals made by either party, CCL is recommended. **ISSUE: Rights**

²⁶

Bureau of Criminal Investigation. BCI also does pre-hire background checks which is not apparently part of this clause.

CONTRACT: Article 4 — Rights

- B. — "Association Rights" — Subparagraph 7 [new]
- C. — "Individual Rights" — Subparagraphs 5, 9, 18 and 19

POSITIONS: The Association's Proposal : *Art. 4B7* - The District to provide a list of employee/ bargaining unit member personal and seniority related information, in an electronic format compatible with Microsoft Excel, to the Association President no later than September 30 of each school year. *Art. 4C 5-* Amends non-discrimination clause with a number of heretofore categories not covered in law. *Art. 4C 9 d* - CCL. *Art. 4C 18-* CCL. *Art. 4C 19-* CCL.

POSITIONS: The School District's Proposal: *Art. 4B7* - The Board objects to providing personal email but will provide personal information, subject to employee permission, in the paper staff directory and will provide the seniority related information in a format requested by the Association. *Art. 4C 5* - CCL. *Art. 4C 9 d-* The Board proposal adopts the contract sequence of amended R.C. 3319.081. *Art. 4C 18-* clean up. *Art. 4C 19-* Delete clause.

FACT FINDINGS: Criteria #1, #3,#4, #6

Article 4B7. Bargaining Unit Information. The differences in the proposals between the parties relate to timing and form of the information the Board provides the Association. The Board agrees to all the information identified in the Association list but adds the requirement of employee permission for the release of home address and phone and deletes personal email addresses. The Association proposes all information be delivered in electronic format consistent with Microsoft Excel. It sets September 30 as the date of delivery. The Board essentially agrees to a date but disagrees as to the format except for the information from the jointly developed seniority list. The personal information is to be provided in this paper staff directory. Development of the seniority list is proposed by the Board to be between October 1 and November 1 and the delivery in any format requested by the Association.

Member permission is provided by their membership in the Association. If a member wishes to opt out, that should be accepted. As for non-members, the information is not subject to the agreement. The timing and form of the personal information by the paper staff directory is sufficient. However if the staff directory is available in some electronic format such as PDF or Google Sheets it can be provided to the Association of the applicable information. The Board is not required to do the administrative clerical work of the Association on the personal information. The seniority list is jointly developed and is a different matter. The Board structure of the provision will be maintained. The recommendation will be as follows.

7. Bargaining Unit Member Information

- a. Personal Information. Unless a member requests it be withheld from the District staff directory published to the staff annually by the District on October 1, the following information shall be provided to the Association in the Directory on paper or in the electronic format retained by the Board:
Name; Home Address; Phones provided to the District; Email provided to the District; work email; work site.

The Association may at any time submit in writing signed and witnessed consent from any member that had opted out of the Directory and the information, if retained by the Board, shall be provided separately from the Directory in the format retained.

b. Seniority Information. As part of the seniority list developed under Article 14, F.1. the following shall be submitted to the Association President in an electronic format (either Microsoft Excel or Google Sheets) when complete.

Name; Seniority Date; Full-Time equivalent (FTE) status; and contract status (i.e., limited contract or continuing contract).

Article 4C 5, Nondiscrimination. The Association prefaces the inclusion of additional protected classes with a more expanded explanation of what constitutes nondiscrimination. The Employer's definition (CCL) of non-discrimination is consideration for employment, re-employment, or promotion. The Association would expand this by including applications of terms of the agreement, policy and other general descriptions of bullying and harassment. Its concluding sentence it repeats generally the CCL introductory sentence.

As for the classes of protection the Association would omit "color" and "creed." It would add "Disability ... Gender Identity. Gender Expression. Sexual Orientation. Military Status or Marital Status." The Board omits disability discrimination, and both omit age discrimination.

In the bargaining sessions the Board resisted the amendment of this section on the basis that the CCL reflected statement of the law and that additional conditions and classes would in effect require a local district with financial challenges to have to fund grievances that would not be otherwise addressable under the law. Between the first and second day of the hearing, the United States Supreme Court decided *Bostock v. Clayton County Georgia*, 590 U. S. ____ (2020), (Slip Op. Case No.17 - 1618, decided 06/15/20). UX 15. That case, a rare 6-3 split decision, it held:

"In title VII, Congress adopted broad language making it illegal for an employer to rely on an employee's sex when deciding to fire that employee. We do not hesitate to recognize today a necessary consequence of that legislative choice: an employer who fires an individual merely for being gay or transgender defies the law." *Id.* Slip op. p. 33.

In response to this decision the Board argued that the CCL had already been amended by operation of law by the Court and new verbiage was unnecessary.

The recommendation will be in the spirit of updating the language, a process that both parties felt was necessary in this negotiations. The non-discrimination clause will be expanded in its scope as to the meaning of non-discrimination and will include the classes protected by law but not others. To that end the Factfinder recommends the parties adopt the following.

No bargaining unit member or prospective employee may be discriminated against either in consideration for employment, reemployment, or promotion or in the application of any provision of this collective bargaining agreement and/or application of any Board policy on the basis of race, color,

religion, national origin, or sex, or age is defined in the Age Discrimination in Employment Act, as amended, or disability as defined by the Americans with Disabilities Act, as amended. The Board of Education and the Association shall cooperate to prohibit any such acts of discrimination.

"Color" is a protected category under Title VII. "Creed" does not appear as any legally defined class for non-discrimination. "Gender Identity, Gender Expression, Sexual Orientation" are covered by the *Bostok* case. The reference to "bullying, harassment" is not only redundant but is also inherently included in Title VII as has been amended including through the *Bostok* case. There is no need to mention what is already addressed in law. For example "pregnancy" was not separately mentioned because the Pregnancy Amendments to Title VII covered it.

Age discrimination and disability discrimination are not administered under the law in the same manner as Title VII. Their respective statutes and the cases interpreting them have rather reticulated judicial gloss. Discrimination with reference to these categories needs to refer to the statutes.

"Military Status, or Marital Status" will be omitted. They are categories that are protected in some states other than Ohio and under other names (e.g. veterans status, domestic relationships). The military in particular is the subject of several Federal statutes that, rather than address discrimination, address preference. A non-discrimination clause may confuse the application of those statutes.

Article 4C 9. Contracts for non-teaching employees. The Board would change the CCL providing a one-year limited contract after the probationary period to be followed by a two-year limited contract and then a continuing contract with the new sequence of one-year limited contract after the probationary period to be followed by three two-year contracts and then a continuing contract. This permits four evaluations before the continuing contract as opposed to the former scheme of two evaluations. The Association did not comment. The CCL does not make reference to the statute so there is no compulsory updating needed. The term of this CBA is so short this is not terribly relevant. This is a break through "good idea" that is best for the parties to address in bargaining.

Article 4C 18. Call in absence. This is a change in diction that the Board claims is desired by the employees but the Association opposes. The term of this CBA is so short this is not terribly relevant. This is a break through "good idea" that is best for the parties to address in bargaining.

Article 4C 19. Student Tuition Waiver. The Board would eliminate this clause because it prefers to admit children of employees through open enrollment for which it received State funds rather than per a contract term which precludes state funding. There is no evidence of a child of an employee being declined. The Association opposes for no stated reason.

ISSUE Article 4 – Rights: Recommendation:

The Fact-Finder recommends as follows: Article 4B 7 and to Article 4C 5 the Fact-Finder recommends language be adopted as identified above. Article 4C 9 and Article 4C 18. CCL. Article 4C 19. Employer's proposal is recommended.

ISSUE: Complaints

CONTRACT: Article 7

POSITIONS: The Association's Proposal : *Art. 7 - CCL.*

POSITIONS: The School District's Proposal: *Art. 7 - The Board proposes a wholesale revision of this article.*

FACT FINDINGS: Criteria #1, #4, #6

Article 7. The Board makes language and "philosophical" revisions to this article. The chief focus are that it does not believe classified employees should be expected or required to contact a parent in order to attempt to resolve a complaint about the employee. The resolution of complaints involving an employee is an essential component of managing the workforce and thus an inherent management right. It also rejects the idea that it can be prohibited from using a "substantiated" finding resulting from a Children Service Board's investigation as part of its evidence when disciplining an employee who is alleged to have engaged in child abuse or neglect. The Board agrees the employee should be notified but opposes any limitation on its discretion as a management right.

The Association opposes with little comment.

The general Article 7 revision is a break through "good idea" that is best for the parties to address in bargaining. Notably, the CCL already provides that the supervisor controls the initial phase of the investigation with the parents and the employee is not out on his own. The term of this CBA is so short this is not terribly relevant.

The CCL Article 7 E concerning a Children Service Board's investigation is an exception. The current emphasis on the protection of children in school settings particularly with respect to abuse and neglect has become a matter of utmost public urgency. The Factfinder's role as the "public" member of the bargaining team requires the recommendation of language holding persons whose conduct has been substantiated by the agency to account. The Board's language serves that purpose.

ISSUE Article 7 – Complaints: Recommendation:

The Fact-Finder recommends as follows: Article 7 E the Employer's revision (with correction to paragraph references corrected) is recommended. All other language of Article 7, CCL.

ISSUE: Vacancy, Transfer and Assignments

CONTRACT: Article 9 — A 1., C 1 a and E 1a

POSITIONS: The Association's Proposal: *Art. 9 A 1-* Increase posting period from five to 14 day internal posting before public posting and add: "All postings shall be posted internally for no less than two weeks prior to their posting to the general public. Attrition shall not be used as a reason to not post an open position." *Art. 9 C 1a-* Adds two statements of about qualifications the Administration may or may not use. *Art. 9 E 1-* for involuntary transfers that would memorialize the Employer's obligation not to behave unreasonably (retaliatory, unreasonable, vindictive, nepotistic, or favoritism reasons) and repeats on retaliation in new.

POSITIONS: The School District's Proposal: *Art. 9 A 1-*, CCL. *Art. 9 C 1a -*, CCL. *Art. 9 E 1.* The Employer would limit non-retaliation to protected conduct and permit employees to express interest in a transfer.

FACT FINDINGS: Criteria #1, #4, #6

Article 9 A 1. Posting. The Association proposes to change the time period for postings and add requirements that public notice be delayed for two weeks and that "attrition" not be used as a reason not to post. The Board rejects the proposal.

No evidence was presented that five days is a hardship on applying for a posted position. If it has worked until now, it will continue to work. As for delay of public notice, that strikes the Factfinder as an unnecessary burden. If interested employees, who have priority under the contract when qualified, have bid in the first five days, the delay for the public serves no purpose. Finally, "attrition" is an absolutely valid reason not to post a position. There is no point in posting a position that will not be filled because attrition is used to reduce headcount. Inserting such a statement could impair the Board's opportunity to use that technique which is an impairment of its statutory rights. While it may chose to impair its own statutory rights, that is not a subject that will be imposed as a breakthrough issue. The CCL will be recommended.

Article 9 C 1a. Bid Qualifications. The Association would add statements that the Board will not "purposely" design qualifications that would award a job to a particular person. Another "good idea." However, the clause already states: "Qualifications developed by the Administration prior to the posting, shall not be discriminatory, unreasonable or excessive and shall be germane to the position." Custom designed qualifications are inherently unreasonable. Moreover, if the Association has proof that it was "purposely" done adding the proposed sentence will offer no more protection and might make the case more difficult than merely proving it was unreasonable.

The other sentence would limit what the Board could consider as qualifications. The determination of qualifications is the Board's statutory right and inserting it in the contract would impair that right. As above, the Board has the power to agree, but being a very conservative process, interest arbitration is not the way to impose it. The CCL will be recommended.

Article 9 E 1. Involuntary transfers. The Association seeks to insert non-retaliatory and other types of protections in the involuntary transfer clause. The Board responds by countering with language of its own. There is some evidence that the Association thought would demonstrate an abuse of the transfer provision that met with explanations from the Board in testimony. The Board also argues that the changes would impair its contractual and statutory management rights. This is not a rights arbitration but interest arbitration. This arbitrator is not charged with any kind of a determination of disputes. The scant (of necessity) information offered here by both parties only serves to show that it is fairly debatable.

This is a breakthrough issue also. If the CCL ain't broke it doesn't need fixing. Both parties tinkered with the language and only succeeded in creating more confusion. Protected activity is already protected, not just for involuntary transfers but in general. Actions in violation of the contract are already prohibited and grievable. It is true that nepotism and favoritism are not specifically addressed elsewhere and that they are worthy of being prohibited. However, a nepotism policy by the Board that would be generally applicable to bargaining unit and non-bargaining unit employees alike is one of the reasonable rules that management can develop. The Association can grieve the policy if it is unreasonable. That is the the preferred process and not the imposition of the bare words by an outside neutral. Neither proposal is recommended. The CCL will be recommended.

ISSUE Article 9 – Vacancy, Transfer and Assignments. Recommendation:

The Fact-Finder recommends as follows: Article 9 A 1, C 1 a, and E 1a 7, CCL.

ISSUE: Personnel Files

CONTRACT: Article 11.C.

POSITIONS: The Association's Proposal : CCL.

POSITIONS: The School District's Proposal: Add clarification for CCL language on the destruction of personnel files by eliminating descriptor of "have not been used" to be replaced by "are not intended to be kept by the District and put in the employee's personnel file."

FACT FINDINGS: Criteria #1, #4, #6

The CCL language, "have not been used," is too ambiguous to describe which documents of a personnel file are to be destroyed. The Board's clarification is an improvement.

ISSUE Article 11 – Recommendation:

The Fact-Finder recommends as follows: The Board language is recommended.

ISSUE: Seniority, Layoff and Recall

CONTRACT: Article 12.B – subparagraphs B 1, B 2 b, 1 and 2 b,c,d.²⁷

POSITIONS: The Association's Proposal : *Art.12 B 1* - insert April 15 deadline for layoff notices and add rights for percentage reduction. *Art.12 B 2b1*- replace "least" with "less" for bumping rights.
Art. 12 B 2b2 b,c,d - CCL.

POSITIONS: The School District's Proposal: *Art. 12B 1* - opposes April 15 deadline for layoff notices but agrees to add rights for percentage reduction. *Art.12 B 2b1*- agrees to replace "least" with "less" for out of classification jobs opposes otherwise. *Art. 12 B 2b2 b,c,d* - Eliminate groundskeeper revise maintenance and transportation lists.

FACT FINDINGS: Criteria #1, #3,#4, #6

Article 12B 1 - Layoff. Here the parties agree on one point. The only contested issue in this section is that Association inserts an April 15 deadline for layoff notice. The Board opposes claiming it is not practical. Timely notice of a layoff is a necessity for the employee's worklife planning. However, the Board makes a good point that April is too early especially because half its funding is from the State which is unlikely to have information timely for it to implement such notice. The legislature is only obligated to pass the school funding by June 30. There was no evidence given as to what better date there might be so the neutral cannot make one up. Notice is something the parties will have to address in the next contract. It is CCL for now.

Article 12B 2b - Bumping. The Association would change "least" seniority to "less" seniority for bumping in both cases but the Board agrees only on one.

This is not a well advised change at all. Using seniority to bump the least senior person is tried and true through out labor relations. However, to bump a less senior person might be the next one in line and not the one who is at the bottom of the list. The next person also has seniority rights. Depending on qualifications, they may be out of a job or will have to bump further down. This little change can make for a protracted process in which every employee uses their own seniority as a hunting license to take another member out of a job. The Employer then becomes involved in multiple placements that both cost it time and money and will of necessity create unhappy employees who can grieve the many decisions made by management in administering the bumping. The better and less complex solution is the "least" senior, the newest hire. Differentiating between "least" senior for in-classification jobs and "less" senior for out of classification jobs is a distinction without a difference.

The CCL is recommended mostly under Criteria #6 (what reasonable people would agree) and somewhat under #1 (the existing agreement was working so far) and a bit under #3 (finances).

²⁷

Correct diction of Art. B 1a: "effected" to "affected." Not a party proposal.

Article 12 B 2b2 b,c,d. Classifications. The Board wishes to clean up the classification list to reflect recent changes. The groundskeeper was combined with a maintenance job. The time for contesting the grounds keeper/maintenance changes is now gone since that has been TA'd (Appendix B, Group 2). Since the Association has acquiesced to the change it can be memorialized in the agreement.

The Board also proposes the van driver is a position that drivers should be able to bump to. To the Association the proposal to change the current list of job classifications and positions regardless of whether the Board has someone currently employed in a specific position. It claims the Board is carving up current bargaining unit work, which is inherently intolerable.

This is a case where both are absolutely correct. Changing classifications is a bargaining issue for sure. However, superfluous classifications in an agreement are a source of mischief in a bargaining relationship. There should be no meaningless terms in the agreement. A job without anyone doing it is not a job. Bargaining parties are expected to adjust to changes in the circumstances of the work together over time. That is particularly true where the Administration has been combining jobs to avoid layoff or new hires, both of which are costly to an entity with forecasted insolvency.

The van driver change presents a new opportunity for members to retain employment. The Association's opposition to it is not clear here but may relate to the proposal to Article 19 where drivers are paid their regular rate instead of the field trip rate.

ISSUE Article 12 – Recommendation:

The Fact-Finder recommends as follows: Article 12B 1. The last sentence agreed by both as to percentage reduction should be added without any other change. Article 12B 2 b1. CCL. Article 12B 2b2 b,c,d - The Board proposal is recommended.

ISSUE: Paid Holidays.

CONTRACT: Article 14.A7.

POSITIONS: The Association's Proposal : *Art. 14A* - Add ¶7, three more paid holidays for custodial and groundskeeping bargaining unit members: the day after Thanksgiving, Christmas Eve and New Year's Eve .

POSITIONS: The School District's Proposal: *Art. 14A* - CCL

FACT FINDINGS: Criteria #1, #3, #6

Article 14 A. Paid Holidays. The Classified Unit classifications are divided between 9 or 10 month employees and 11 or 12 month employees for holidays. The Association purposes three additional holidays for a small group of 9/10 month employees, the custodians, because it is a negligible cost to the Board and would give the custodians some recognition. The Board opposes change for a number of reasons, cost being the obvious. It also claims the differentiation between custodians as opposed to all of the other 9/10 month employees is not justifiable. The change could also apply to the 11/12 month members under Art. 12B. Those employees receive the holidays of the 9/10 month employees plus Independence Day. Finally if the custodians do not want to work on the three specified days, they could simply request to work on three different days during the year to fulfill their required number of workdays.

Custodians do lonely work when everyone else is out of the building. While that is a benefit in some ways, it also places them out of sight and out of mind. They are easily taken for granted, usually when the mess is the biggest. Everybody, students and parents too, know someone will take care of it but never realize the amount of the work needed. Recognition is recommended in general but it cannot be in the form of the proposal.

This District cannot bear even negligible increased costs particularly the type that are not a finite one time expense. Holidays are a continuing expense. As the Board argues, the way it was proposed creates many interpretation issues. The CCL must remain.

ISSUE Article 14 – Recommendation:

The Fact-Finder recommends as follows: Article 14 A. CCL.

ISSUE: Hours.

CONTRACT: Article 15 G.

POSITIONS: The Association's Proposal : *Art. 15 G* -No comment on Board change but would add t¶3, to permit the employee choice to attend meetings outside of the workday.

POSITIONS: The School District's Proposal: *Art. 15 G* 2- Add language about time and one half for attending meetings when over 40 hours. *Art. 15 G* 3[new]. Opposes addition of the clause.

FACT FINDINGS: Criteria #1, #3,#4, #6

Article 15 G. Meeting pay. The Board would insert requirement of FLSA for time in meetings at time and half if beyond 40 hours per week but the Association opposes without comment. This is something that should go without saying. Meeting time is paid at the regular rate. By operation of law, if the hours spent at the regular rate exceed 40, the time and half is owed. However, the CCL cannot be applied because the parties have created a dispute over whether meeting time is part of the workweek by contesting the addition of Art. 15G3 as proposed by the Association.

Mandatory meetings of employees are work time. Period. Employees do not have options not to perform work without being insubordinate unless there is a CBA clause granting permission (or unless morals, health or safety are at issue). The Association seeks the grant of permission. The management opposes. It is management's statutory discretion to hold meetings. Obviously discretion can be abused and if so grieved, but if reasonable is management's call.

ISSUE Article 15 – Recommendation:

The Fact-Finder recommends as follows: Article 15 G. Add Board proposed language only.

ISSUE: Paid Leaves of Absence.

CONTRACT: Article 16: A. – Subparagraph 3
 B. – Subparagraph 2.d.
 C. – 1/3

POSITIONS: The Association's Proposal : *Art. 16 A3* - Increase post childbirth sick days from eight to 12 and add clarification: "for mother's, father's, and guardians." *Art. 16 B2d* - CCL. *Art. 16 C1* - Add pay out of unused Personal Leave at *per diem* rate in the first pay in July.

POSITIONS: The School District's Proposal: *Art. 16 A3* -Opposes additional sick days after childbirth and Association language, but proposes a minor diction change. *Art. 16 B2d* -Proposes new language to require testimony by the employee in disciplinary proceedings. *Art. 16 C 1/3*- Minor diction changes in ¶ 1. Add ¶3 for pay out of unused Personal Leave at substitute rate in the second pay in July.

FACT FINDINGS: Criteria #1, #2,#3,#4, #6

Article 16 A. 3. Childbirth leave. The chief difference in the proposals is the number of weeks. The Association proposes 12 paid weeks without medical documentation. The CCL is eight weeks after which medical documentation is required. The employee can use Family and Medical Leave (to the extent available to the employee) which is uncompensated except for maintaining the employee's health insurance during that period. The parties increased paid sick leave for use post-birth from six weeks to eight weeks in the bargaining agreement of 2016 which is now expiring.

Most Ohio school districts (eg Chippewa and Southeast) provides that an employee may use accrued paid sick leave for six weeks without medical documentation following a child's birth, unless the birth involved a caesarian-section for which eight weeks is available for sick leave. In Wayne County Norwayne and Orville provide 6 weeks and Green, 10 weeks. Other Wayne County CBA's (i.e., Rittman, Triway and Wooster) are silent on the matter making unpaid FMLA the likely leave.

The second difference is that the CCL only refers to the "employee" while the Association specifies mothers, fathers and guardians as eligible. The increase of paid leave, in weeks and in the persons covered, is an economic issue. With the District finances as they are, on the cusp of being unable to be certified through the second contract year, new economic terms are not in the cards. FMLA is available to extend non-cesarean childbirth leave. Cesarean childbirth is already provided for in the language. The Board's proposal of CCL (corrected) will be recommended.

Article 16 B. 2.d. Assault Leave. The Board clarifies the cooperation expected to include testimony in disciplinary proceedings. The Association opposes that its members ought not be required to testify in criminal proceedings. There is already the requirement that the employer fully cooperate with the police but the Board's internal disciplinary action is not mentioned. Since cooperating in criminal

proceedings is already a requirement, the addition of the disciplinary proceedings is not a significant change. Arguably, to "fully cooperate" might implicitly include disciplinary actions which would make the Board's clarification seem redundant. However, since it has already been brought up in bargaining and addressed as if it was not included as full cooperation, the language has to be included to remain clear.

Article 16 C1/3. Personal Leave. Other than the diction changes in ¶1 there are three other issues.

The CCL provides a "use it or lose it" form of personal day benefit. Both parties agree to a pay out of the unused personal days but disagree as to amount and date and placement. The Association proposes the first pay period of July and the Board, the second. Given that the State funds are not known until June 30 (latest) the second pay period is more reasonable. As to the amount, the Association asks for the employee's usual rate (*per diem*) but the Board asks for the substitute rate because that is the usual cost when a personal day is actually taken. That amount does not recognize what pay for the personal day is. It is earned income and should be at the employee's regular rate. The placement as a third paragraph is appropriate. The recommendation will be:

3) A bargaining unit member will be reimbursed at their regular rate of pay for any unused Personal Leave. The payment will be included in the second pay in July.

While this is an economic proposal, it is agreed by both. More to the point, it is a contingent cost. It is not a recurring cost in that all employees do not accumulate unused personal days in the same amount every year.

ISSUE Article 16 – Recommendation:

The Fact-Finder recommends as follows: Article 15 G. Add Board proposed language only. Article 16 C1/3. Art. 16C 1. Minor diction changes of employer. The language recited above for Art. 16C3 is recommended.

ISSUE: Unpaid Leave.

CONTRACT: Article 17 B. – Family and Medical Leave
 E. – Unpaid Short Term Leave

POSITIONS: The Association's Proposal : *Art. 17 B - CCL. Art. 17 E - CCL.*

POSITIONS: The School District's Proposal: *Art. 16 B.* Delete FMLA provisions and replace in full. CCL. *Art. 16 E.* add language to outline current practice and delete reference to "Christmas" in favor of "Winter."

FACT FINDINGS: Criteria #1, #4, #6

Art. 17 B. FMLA. The Board proposes a provision to replace the CCL with its language. It claims the current CCL is outdated in respect to the law. The Association has no response. The Board language appears to be satisfactorily current with the FMLA and will be recommended.

Art. 17 E. Short-term leave. The CCL permits employees to take short-term leaves not to exceed three days upon 10 days notice to the Superintendent. The Board's proposal requires notice to the Superintendent and Principal and approval in advance by the Superintendent. It specifies that the short-term leave cannot be used to extend Thanksgiving, Christmas or spring breaks.

The substitution of "Winter" for the CCL "Christmas" is inappropriate for two reasons . First "Winter" does not appear anywhere in the CBA. Second, the Federal holiday is Christmas for which break is observed.²⁸ Substituting the term "Winter" could create discretion in the Employer to set it at some other time. The testimony is that this language memorializes the practice as it is. The Association has no response.

The Board's proposal will be recommended except for the substitution of "Winter" for "Christmas."

ISSUE Article 17 – Recommendation:

The Fact-Finder recommends the Employer's Art. 17 B proposal and recommends the Employer's Art. 17 E proposal except for the substitution of "Winter" for "Christmas."

²⁸

5 U.S. C§6103.Holidays, *Ganulin v. United States*, 71 F. Supp. 2d 824 (S.D. Ohio, W. Div., 1999).

ISSUE: Transportation.

CONTRACT: Article 32 A 1,2,4, E, J, Q, W, Z[new]

POSITIONS: The Association's Proposal : *Art. 32 A- ¶1* . Delete the sentence pertaining to a bus driver obtaining a substitute when going to be absent. *¶2*. CCL. *¶4* Delete subparagraph. *Art. 32 E-* Increase roster time from six to 40 hours. Agrees with list roster duties but opposes Board language on time card. *Art. 32 J* - CCL. *Art. 32 Q* - CCL. *Art. 32 W-* The Association adds a notice provision with penalty but otherwise CCL. *Art. 32 Z- [new]* Proposes 30 minutes for mandatory inspection of buses with penalty.

POSITIONS: The School District's Proposal: *Art. 32 A-¶1*. Aside from textual changes, proposes to allow the Transportation Supervisor to decide whether to use substitute drivers to drive "extra" routes in the afternoon turn. *¶2*. Add posting at the beginning of the month. Submission of field trip requests to be made as soon as possible. A coach (if qualified) to drive the van. *¶4* CCL other than diction changes. *Art. 32 E-* List of roster duties, opposes increase of roster time and adds time card requirement to be paid roster time. *Art. 32 J-* Transportation Supervisor to coordinate summer bus cleaning if not done by regular drivers. *Art. 32 Q-* Pre-trip time of 15 minutes changed to discretionary. Opposes changes other than terminology. *Art. 32W-* The Board makes the pre-trip time discretionary and opposes the Association change. *Art. 32 Z-[new]* Opposed.

FACT FINDINGS: Criteria #1, #3,#4, #6.

The Association's paramount interests in these issues is to avoid having work performed without compensation and preserve seniority rights as well as respect for the work that drivers perform.

Article 32 A, 1,2,4. Field Trips. Board proposes to revise ¶1 in order to assert greater control over when bus drivers will be pulled off their regular afternoon elementary routes in order to drive extra trips. The Board testimony is that it is easier for substitutes to drive an extra route as opposed to having to substitute for a driver's regular route. The regular driver knows their route and the students and can manage the students' behaviors. Otherwise the clause maintains the use of seniority for filling extra trips. The Association would delete the sentence requiring drivers to obtain a substitute unless the trip is offered with less than seventy-two (72) hours' notice. The Board claims drivers prefer to know the substitute who will be driving their bus.

The Board is commended for finding every potential marginal cost savings. This is one of them. It is undoubtedly one of those break through good ideas the parties have to work out together. The proof is no where close to the standard of the existing situation being "broken."

As for ¶2, the Board language attempts to clarify the scheduling of field trips. It claims that in the Labor Management Committee bus drivers agreed with the Administration concerning the need for field trips requests be submitted as soon as possible. The Factfinder has no objection and so it seems neither does the Association. The last sentence of ¶2 would allow coaches to drive the van, if qualified, removing the cost of a substitute either for the van or for a driver who is reassigned from a route to the van. This is only needed for golf and occasionally wrestling. Since it is such a rare

circumstance, there is no great necessity that the bargaining unit work be displaced to non-bargaining employees regardless of the potential cost savings. This comes under the category of it is too small to be a threat to the District viability but too large to permit the erosion of bargaining unit work for the Association.

The Association deletion of ¶4 is aimed at ensuring regular drivers can drive field trips. The CCL is a complex provision that provides field trips which are overlapping (or adjacent to) regular hours are paid the field trip rate outside of regular hours. All others are paid a minimum of two hours. It then gives "examples" of how the two hours are to apply.

Driving field trips is obviously a "perk" to the regular drivers. Finding a means to obtain the slot and to be paid is very worthwhile to the members. However, the CCL is so complex, and has worked until now, that a wholesale deletion of it by one party is one of those break through good ideas. The parties should really work this out, and not a neutral. The CCL is recommended for this Agreement.

Article 32 E. Roster Time. There was testimony on roster duties and the time needed. It disagreed as to the time which means it is fairly debatable. In this financial climate, a 5 1/3 times increase (533%) in the time was not substantiated. The amount of pay differs between the parties. The Association seeks payment upon submission of the roster and the District only after submission of a traditional time card. Time keeping is a legal requirement on the Employer and so the record desired by the Employer, the time card, will be recommended. The duties are recommended as agreed.

Article 32 J. Summer Bus Cleaning. Under CCL the driver is responsible for "bidding out" their cleaning time to other drivers. It is more efficient for the Transportation Supervisor to coordinate summer bus cleaning if the regular drivers elect not to do it. The Employer has the responsibility under the FLSA for record keeping including to monitor overtime. A Supervisor should be responsible for the re-assignment of summer bus cleaning duties. The Association does not respond. It will be recommended.

Article 32 Q. Handicap Transportation Aides. The Board claims these are housekeeping/clean-up revisions changing the terminology (ie "handicapped") and amending the language on aides where there are three students with severe behaviors. The CCL states "A Transportation Aide shall be aboard any bus that has three (3) or more severe behavior handicapped students aboard on a regular basis." The Board's language rewrites it changing nothing but the terminology.

Article 32 W. Inclement Weather. The Board claims these are housekeeping/clean-up revisions but changes "will" to "may" which is more discretionary. Notwithstanding the extremely marginal cost control such discretion might give, this is a break through issue not one the neutral has a basis to change.

The Association adds a notice feature with a penalty. The testimony of the Associate Superintendent shows the notice requested is impractical. Aside from the cost factor, a collective bargaining agreement is no place for penalties, on either employees or management. On the economic level it is

a fee-for-service compact. A penalty is a fee without a service being performed to earn it. This is particularly affronts the public particularly when coupled with impractical demands. As the public member of the bargaining team, it cannot possibly be recommended.

Article 32 Z. Pre-Trip and Post-Trip Inspection.

The Association proposes an additional 30 minutes to every driver's regular route for the mandatory inspection under O.A.C. 3301-83-11 including for field trips. The Board opposes the proposal because the mandatory inspection is already built into the time allotted for each route. The testimony of the Associate Superintendent confirmed that. Moreover, O.A.C. 3301-83-11 mentions no time requirement only a duty list.

The added cost of a half hour per day is an economic matter of no little size and at a recurring cost. A half hour per day for 178 days per year is 89 hours per driver per year for 15 drivers (EX 7) is 1,335 hours per year. At the average wage (Step 10, 2020, Association proposal) of \$21.30 this equals \$28,435.50 per year. That is the equivalent of two new bus drivers (Step 0). With District forecasting inability to meet contract payments after two years, this is a cost that may bring the margin down to less than two years. This is not the time to add costs without adding service.

ISSUE Article 32 – Recommendation:

The Fact-Finder recommends as follows: Article 32A. CCL except for diction change ("handicapped") and Board proposed language on "as soon as possible" field trip notice. Article 32 E. The Board's proposal is recommended. Article 32 J. Board language is recommended. Article 32 Q. Board language is recommended. Article 32 W. CCL except for diction change ("Supervisor"). Article 32 Z [new]. The Association proposal is NOT recommended.

ISSUE: Duration and Intent

CONTRACT: Article 35 — Paragraphs A and B

POSITIONS: The Association's Proposal : *Art. 35 A.* Effective dates July 1, 2019 through June 30, 2022. *Art. 35 B.* Proposal to provide 30 day bargaining period over any provision held unlawful subject to the statutory dispute mechanism and add language as savings clause for unaffected terms.

POSITIONS: The School Districts Proposal: *Art. 35 A.* Effective dates July 1, 2019 through June 30, 2021. *Art. 35 B.* CCL.

FACT FINDINGS: Criteria #1, #3, #4, #6

Article 35 A. Dates. Parties differ in the effective dates based on the wage proposals.

Article 35 B. Unlawful terms. This proposal is predicated on the very unlikely circumstance of a provision of the collective bargaining agreement CBA being held unlawful. The Association's first paragraph outlines in detail when a provision is found to be conclusively unlawful and provides a 30 day cure period subject to the statutory impasse procedure. This is a significant improvement above the CCL which states only that the parties shall meet in an attempt to work out an alternative solution." That is rather open ended for a clause that was found illegal and therefore implicitly strongly contested. CCL does not have a savings/severability clause that usually appears with such terms. In its second paragraph the Association makes such a proposal. That has merit. The Board takes the position that the CCL is sufficient. The Factfinder disagrees and will recommend the Association proposal.

ISSUE Article 35 – Recommendation:

The Fact-Finder recommends the Employer's proposed effective dates and recommends the Association proposal on Art. 35 B.

MADE AND ENTERED AT CUYHOGA COUNTY, OHIO
JULY 15, 2020

A handwritten signature in black ink, appearing to read "Gregory P. Szuter", written over a horizontal line.

Gregory P. Szuter, Fact Finder

PROOF OF SERVICE:

The foregoing has been sent by electronic mail via the internet on July 15, 2020, to both NLEA and the Northwestern School District in care of their representatives per addresses shown on the cover and filed with the State Employment Relations Board in the same manner.

APPENDIX A

STATE OF OHIO

STATE EMPLOYMENT RELATIONS BOARD

IN THE MATTER OF:)
)
)
NORTHWESTERN LOCAL) CASE NOS.: 2019-MED-03-0223 and
EMPLOYEES) 2019-MED-03-0224
ASSOCIATION/OEA/NEA UNIT #1)
CERTIFIED and UNIT #2 CLASSIFIED,)
)
)
Union,)
) FACTFINDER: GREGORY P. SZUTER
)
and)
)
)
NORTHWESTERN LOCAL SCHOOL)
DISTRICT BOARD OF EDUCATION,)
)
)
Employer.)

**JOINT STIPULATIONS RE:
PROCEDURAL ISSUES**

1. The Parties waive the statutory deadlines associated with conducting the fact-finding hearing within a specific number of days after the factfinder is appointed. The Parties agree to hold the factfinding hearing for both cases on June 11, 2020, and June 16, 2020. The fact-finding hearing will occur at the Northwestern High School, which is located at 7571 North Elyria Road, West Salem, OH 44287.

2. The Parties agree that the Factfinder must issue separate reports concerning each bargaining unit (i.e., one report for Case No. 2019-MED-03-0223 [Certified] and one report for Case No. 2019-MED-03-0224 [Classified]). The Parties further waive the statutory timeline for the Factfinder to issue his final reports within a specific number of days after the hearing is concluded. The Parties agree that the Factfinder's final reports for the two cases will be due no later than July 15, 2020.

3. The Parties agree that their pre-hearing position statements will be submitted in hardcopy to the Factfinder and each other no later than close of business on June 9, 2020. Contrary to OAC 4117-9-05(F), the Parties do not have to submit their position statement via electronic mail.

4. The Parties agree that: (1) their respective representative may present at the hearing their party's positions concerning the Disputed Articles; and (2) they may present witnesses who will address the topics at issue in the Disputed Articles, including the financial and health insurance topics. Each party may ask questions directly to any witnesses and may request clarification from the representative who is presenting the party's position; in the latter occurs, the representative may ask another individual who is present for the hearing to answer the question on behalf of the party.

5. The Parties agree that the Association President and one other officer, along with the labor relations consultant, will be present throughout the hearing, and the Superintendent and Board President, along with counsel, will be present throughout the hearing. Additionally, the Board Treasurer may be present during those portions of the hearing when she is testifying and when any financial consultant is testifying for the Association. Notwithstanding their attendance throughout the hearing pursuant to this paragraph, the individuals identified in this paragraph may be called as witnesses. Any other witnesses will be permitted to be present only during their testimony.

6. The Parties agree that either party may request permission to submit a post-hearing brief at the close of the hearing, and any such briefs must be filed (via email) within one week of the close of the hearing.

Respectfully submitted,

Respectfully submitted,

/s/ Scott C. Peters

Scott C. Peters (0059408)
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/s/ Ethan Young (via email approval on 6/10/20)

Ethan Young
C/O Front Office
600 W. Goodale St.
Columbus, OH 43201

Labor Relations Consultant for the Association

*Attorney for the Northwestern Local School District
Board of Education*

Wed, 07/15/2020 03:50:19 PM SERB

CERTIFICATE OF SERVICE

A copy of the foregoing *Joint Stipulations re: Procedural Issues* has been sent via electronic transmission on this 10th day of June, 2020 to:

Gregory P. Szuter
6090 Royalton Rd. #341
Cleveland, OH 44133
gpszuter@gmail.com

Factfinder

/s/ Scott C. Peters
*Attorney for the Northwestern Local School
District Board of Education*

APPENDIX B

STATE OF OHIO
STATE EMPLOYMENT RELATIONS BOARD

IN THE MATTER OF:)
)
NORTHWESTERN LOCAL) CASE NO: 2019-MED-03-0224
EMPLOYEES)
ASSOCIATION/OEA/NEA UNIT #2)
CLASSIFIED,)
)
Union,)
)
and)
)
NORTHWESTERN LOCAL SCHOOL)
DISTRICT BOARD OF EDUCATION,)
)
Employer.)

FACTFINDER: GREGORY P. SZUTER

JOINT STIPULATIONS

1. From the outset of the negotiations, the Parties agreed to keep Current Contract Language for the following Articles and request that the Factfinder honor their agreement in his final recommendation:

Article 3 – Assurance Clause
Article 22 – Liability Settlements
Article 23 – Notification of Supervisor
Article 26 – CPR/First Aid Training
Article 33 – Workers’ Compensation
Intent Statement (attendance monitoring)
Appendix A – Drug and Alcohol Testing Procedure for Drivers
Appendix B – Grievance Form

Appendix C – Leave Form

Appendix D [Evaluations]

2. During their negotiations, the Parties reached Tentative Agreements on the following Articles and request the Factfinder include these Tentative Agreements in his final recommendation:

Article 1 – Recognition (TA – 11/12/2019)
Article 2 – Negotiations Procedure (TA – 10/2/2019)
Article 5 – Occupational Safety and Health (TA – 10/2/2019)
Article 6 – Drug & Alcohol Testing Procedure (TA – 10/2/2019)
Article 8 – Grievance Procedure (TA – 11/25/2019)
Article 10 – Evaluation (TA – 10/2/2019)
Article 13 – Vacation (TA – 10/2/2019)
Article 18 – Payroll (TA – 11/25/2019)
Article 20 – Other Income (TA – 10/2/2019)
Article 24 – Job Descriptions (TA – 11/12/2019)
Article 25 – Substitutes (TA – 11/12/2019)
Article 27 – Aides/Tech (TA – 10/2/2019)
Article 28 – Cafeteria (TA – 10/2/2019)
Article 29 – Custodial (TA – 10/2/2019)
Article 30 – Groundskeeper (TA – 10/2/2019)¹
Article 31 – Clerical (TA – 10/2/2019)²
Article 34 – No Strike (TA – 10/2/2019)

Statement of Intent re: Job Descriptions (TA – 11/12/2019)

3. Subsequent to the Board presenting its Counter Proposal on April 15, 2020, the Parties reached agreement concerning the below listed specific provisions based upon the language in the Board’s 4/15/2020 Counter Proposal and request the Factfinder incorporate the following provisions as found in the Board’s 4/15/2020 Counter Proposal in his final recommendation with respect to these otherwise Disputed Articles:

¹ The Board’s 4/15/2020 Counter Proposal contains a proposal with respect to Article 12.B.2.b.2), which if incorporated into the final contract would necessitate deletion of Article 30.

² After the Parties TA’d Article 31, bargaining unit members approached the administration regarding modification of their hours. In order to honor their request, Article 31 would need to be modified.

Article 4.B. – “Association Rights” – Subparagraphs 1, 2, 3 and 6

Article 4.C. – “Individual Rights” – Subparagraphs 2, 4, 10, 12, 13, 17 and 20 [19 in the Board’s 4/15/2020 Counter Proposal]

Article 9.C. – Subparagraphs 1.b. and 1.c.

Article 12 – Paragraphs A., C., D. and E.

Article 15 – Paragraphs A. (“Regular Rate”), B. (“Overtime Rate”) and C. (“Compensatory Time”) and I.

Article 16.A. – Subparagraph 7

Article 16.D. – Subparagraphs 1 and 3

Article 16.G. – “Association Leave”

Article 17.F.

Article 32.M. – “Pay for CDL and CDL Renewal”

Article 32.S. – “On Board Instructor (OBI)”

Article 35.C.

4. The Parties agree that the following provisions of the otherwise Disputed Articles shall remain Current Contract Language and request the Factfinder honor their agreement in his final recommendation:

Article 4.A. – “Management Rights”

Article 4.B. – Subparagraphs 4 and 5

Article 4.C. – Subparagraphs 1, 3, 6, 7, 8, 11, 14, 15 and 16

Article 9.A. – Subparagraph 2

Article 9.B. – “Bidding”

Article 9.C. – Subparagraph 2

Article 9.D. – “Transfer Outside Bargaining Unit”

Article 9.E. – Subparagraphs 2, 3 and 4

Article 9.F. – “Promotional Probationary Period”

Article 11 – Paragraphs A., B. and D.

Article 12.C. – Subparagraph 2

Article 12. – Paragraphs D. and E.

Article 14. – Paragraphs B., C., and D.

Article 15. – Paragraphs D., E., F., H., and J.

Article 16.A. – Subparagraphs 1, 2, 4, 5, 6 and 8

Article 16.B. – Subparagraphs 1, 2.a., 2.b., 2.c.

Article 16.D. – Subparagraphs 2, 4, 5 and 6

Article 16. – Paragraphs E. (“Compulsory Leave”), F. (“Emergency and Hazardous Leave”) and H. (“Funeral Leave”)

Article 17. – Paragraphs A. (“Child Care Leave”), C. (“Extended Leave of Absence”) and D. (“Military Leave”)

Article 32 – Paragraphs B. (“Canceled Field Trips”), C. (“Cleaning Tools”), D. (“Meetings/Inservice”), F. (“Route Assignments”), G. (“Two-Way Radios”), H. (“Pay for Travel To/From Service”), I. (“Telephone Lists”), K. (“Regular Employee Sub Rate”), L. (“Type of Vehicle”), N. (“Safety Training”), O. (“Emergency Situations”), P. (“Pre-School Transportation Aide”), R. (“Transportation Aide”), T. (“Abstracts”), U. (“Days”), V. (“Routes”), X. (“Inspection Forms”) and Y. (“Unused Personal Leave”)

Article 35. – Paragraphs D. and E.

5. The Parties stipulate that following items constitute the Disputed Articles that are duly before the Factfinder and should be addressed in his final recommendation:

Article 4 – Rights

B. – “Association Rights” – Subparagraph 7 [new]

C. – “Individual Rights” – Subparagraphs 5, 9, 18 and 19

Article 7 – Complaints

Article 9 – Vacancy and Transfer

A. – Subparagraph 1

C. – Subparagraph 1.a.

E. – Subparagraph 1

Article 11 – Personnel Files – Paragraph C.

Article 12 – Seniority, Layoff and Recall – Paragraph B. (“Layoff”)

Article 14 – Paid Holiday – Paragraph A. (“Nine (9) and Ten (10) Month Bargaining Unit Members”)

Article 15 – Hours – Paragraph G. (“Meeting Pay”)

Article 16 – Paid Leaves of Absence

A. – Subparagraph 3

B. – Subparagraph 2.d.

C. – “Personal Leave”

Article 17 – Unpaid Leave – Paragraphs B. (“Family and Medical Leave”) and E. (“Unpaid Short Term Leave”)

Article 19 – Wages

Article 21 – Insurances

Article 32 – Transportation – Paragraphs A. (“Field Trips”), E. (“Roster Time”), J. (“Summer Bus Cleaning”), Q. (“Handicap Transportation Aides”), W. (“Inclement Weather”) and Z. (“Pre-Trip and Post-Trip”) [new]

Article 35 – Duration and Intent – Paragraphs A. and B.

Intent Statement (transportation)

App. ____ (2019-2020 Summary of Benefits and Coverage) [new]

Respectfully submitted,

/s/ Scott C. Peters

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*Attorney for the Northwestern Local School District
Board of Education*

Respectfully submitted,

/s/ Ethan Young (via email approval on 6/8/20)

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Labor Relations Consultant for the Association

CERTIFICATE OF SERVICE

A copy of the foregoing *Joint Stipulations* has been sent via overnight delivery this 8th day of June, 2020 to:

Gregory P. Szuter
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Cleveland, OH 44133
gpszuter@gmail.com

Factfinder

/s/ Scott C. Peters

*Attorney for the Northwestern Local School
District Board of Education*